

Funding Proposal

FP148: Participation in Energy Access Relief Facility ("EARF")

Multiple Countries | Acumen | Decision B.27/01

9 December 2020



Funding Proposal

Project/Programme title:	Participation in Energy Access Relief Facility ("EARF")
Country(ies):	Uganda, Nigeria, Democratic Republic of Congo, Kenya, Senegal, Mozambique, Sierra Leone, Rwanda, Zambia,
Accredited Entity:	Acumen Fund, Inc.
Date of first submission:	2020/07/07
Date of current submission	2020/27/09
Version number	V.6.3



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Note to Accredited Entities on the use of the funding proposal template

- Accredited Entities should provide summary information in the proposal with cross-reference to annexes such as feasibility studies, gender action plan, term sheet, etc.
- Accredited Entities should ensure that annexes provided are consistent with the details provided in the funding proposal. Updates to the funding proposal and/or annexes must be reflected in all relevant documents.
- The total number of pages for the funding proposal (excluding annexes) **should not exceed 60**. Proposals exceeding the prescribed length will not be assessed within the usual service standard time.
- The recommended font is Arial, size 11.
- Under the [GCF Information Disclosure Policy](#), project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Accredited Entities are asked to fill out information on disclosure in section G.4.

Please submit the completed proposal to:

fundingproposal@gcfund.org

Please use the following name convention for the file name:

"FP-[Accredited Entity Short Name]-[Country/Region]-[YYYY/MM/DD]"

A. PROJECT/PROGRAMME SUMMARY			
A.1. Project or programme	Programme	A.2. Public or private sector	Private
A.3. Request for Proposals (RFP)	If the funding proposal is being submitted in response to a specific GCF Request for Proposals, indicate which RFP it is targeted for. Please note that there is a separate template for the Simplified Approval Process and REDD+. Not applicable		
A.4. Result area(s)	Check the applicable GCF result area(s) that the <u>overall</u> proposed project/programme targets. For each checked result area(s), indicate the estimated percentage of <u>GCF budget</u> devoted to it. The total of the percentages when summed should be 100%.		
	<u>Mitigation:</u> Reduced emissions from: ☒ Energy access and power generation: ☐ Low-emission transport: ☐ Buildings, cities, industries and appliances: ☐ Forestry and land use: <u>Adaptation:</u> Increased resilience of: ☐ Most vulnerable people, communities and regions: ☐ Health and well-being, and food and water security: ☐ Infrastructure and built environment: ☐ Ecosystem and ecosystem services:		<u>GCF contribution:</u> 100% 0% 0% 0% 0% 0% 0% 0%
A.5. Expected mitigation impact	1.33 million tCO ₂ eq ¹ (see Annex 22a for detail on methodology) ²	A.6. Expected adaptation impact	Not applicable
			Not applicable

¹ This GHG mitigation impact is expected to be achieved over a programme lifetime of 6 years, which includes the approximately 3-year lifespan of off-grid solar units sold in Year 3 of the fund.

² Projected impact on emissions mitigation, companies funded, MW of renewables installed, and beneficiaries, here and throughout the FP, are based upon an assumption that US \$30 million of GCF funds is disbursed in loans to energy access companies. Actual disbursements, and therefore impact, may be somewhat lower.

A.7. Total financing (GCF + co-finance)	<u>30,000,000 USD</u> <u>– 60,000,000 USD</u>	A.9. Project size	Medium (up to USD 250M). Acumen was ‘Micro’ accredited at a time when the accreditation amount was based upon outflows to individual recipients, not on project totals. Individual loans or investments in this programme will not exceed USD 10M, falling within the “micro” scope of accreditation.												
A.8. Total GCF funding requested	<u>30,000,000 USD</u> <i>For multi-country proposals, please fill out annex 17.</i>														
A.10. Financial instrument(s) requested for the GCF funding	<i>Mark all that apply and provide total amounts. The sum of all total amounts should be consistent with A.8.</i> <table border="0"> <tr> <td>☐ Grant</td> <td>Enter number</td> <td>☒ Equity</td> <td>\$30,000,000</td> </tr> <tr> <td>☐ Loan</td> <td>Enter number</td> <td>☐ Results-based payment</td> <td><u>Enter number</u></td> </tr> <tr> <td>☐ Guarantee</td> <td><u>Enter number</u></td> <td></td> <td></td> </tr> </table>			☐ Grant	Enter number	☒ Equity	\$30,000,000	☐ Loan	Enter number	☐ Results-based payment	<u>Enter number</u>	☐ Guarantee	<u>Enter number</u>		
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☐ Loan	Enter number	☐ Results-based payment	<u>Enter number</u>												
☐ Guarantee	<u>Enter number</u>														

A.11. Implementation period	Loan Funding Implementation Period: multiple years in total. Year 1: Legal Facility set-up for GCF participation through Climate CV. EARF will commit Loans to eligible borrowers M&E and ESG monitoring and evaluation per the requirements of GCF Year 2: EARF operation of loans. M&E and ESG monitoring and evaluation per the requirements of GCF Year 3: EARF operation of loans. M&E and ESG monitoring and evaluation per the requirements of GCF Year 4: EARF operation of loans. EARF will start transferring back loan repayments to GCF (via the participation by Climate CV). M&E and ESG monitoring and evaluation per the requirements of GCF	A.12. Total lifespan	<u>4 years – 6 years</u>
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A.13. Expected date of AE internal approval	<i>This is the date that the Accredited Entity obtained/will obtain its own approval to implement the project/programme, if available.</i> 8/24/2020	A.14. ESS category	<i>Refer to the AE's safeguard policy and GCF ESS Standards to assess your FP category.</i> I-3
A.15. Has this FP been submitted as a CN before?	Yes ☒ No ☐	A.16. Has Readiness or PPF support been used to prepare this FP?	Yes ☐ No ☒
A.17. Is this FP included in the entity work programme?	Yes ☐ No ☒	A.18. Is this FP included in the country programme?	Yes ☐ No ☒
A.19. Complementarity and coherence	<i>Does the project/programme complement other climate finance funding (e.g. GEF, AF, CIF, etc.)? If yes, please elaborate in section B.1.</i> Yes ☒ No ☐		
A.20. Executing Entity information	<i>If not the Accredited Entity, please indicate the full legal name of the Executing Entity(ies) and provide its country of registration and ownership type. Note that there can be more than one Executing Entity. Also indicate if an Executing Entity is the National Designated Authority. Refer to the definition of Executing Entity in the Accreditation Master Agreement.</i> Facility Manager Social Investment Managers & Advisors, LLC (SIMA): SIMA is a Delaware, USA-registered Limited Liability Company. SIMA is also a registered U.S. Securities and Exchange Commission Investment Adviser (registration # 801-119020). Note that SIMA will be serving in a dual capacity, as both Facility Manager of the EARF and General Partner of Climate CV. Loan Provider Energy Access Relief Fund B.V. (EARF): EARF will be set up as a Dutch private limited liability company (besloten vennootschap met beperkte aansprakelijkheid) incorporated under the laws of the Netherlands. Intermediary for GCF Participation Climate CV Climate CV will be set up as a Dutch limited partnership (commanditaire vennootschap). SIMA will be the General Partner.		
A.21. Executive summary (max. 750 words, approximately 1.5 pages)			

Provide an executive summary of the project/programme including:

1. *Climate change problem*
2. *Proposed interventions*
3. *Climate impacts/benefits*

Climate Change Problem

1. Sub-Saharan Africa faces unique and acute challenges in the global fight to mitigate and adapt to climate change. On one front, the impacts of climate change are predicted to be more severe: according to the Intergovernmental Panel on Climate Change (IPCC), temperature increases in Sub-Saharan Africa are expected to be higher than the global mean temperature increase, impacting health, agriculture and food security. At the same time, 548 million people in Sub-Saharan Africa do not have access to electricity and must rely on kerosene and diesel generators for lighting, while another 900 million (85% of the population) lack access to clean cooking fuels and technologies, causing rapid deforestation and dangerous levels of indoor air pollution. Countries in Sub-Saharan Africa must reduce emissions from the energy sector and help vulnerable people and health systems to adapt to climate change, while still expanding access to everyone. It is here that energy access companies are playing a major role, but now find their continued existence in peril, due to the effects of the COVID-19 pandemic.
2. Energy access firms have made remarkable progress in mitigating climate change, with the majority of their impact in Sub-Saharan Africa. 74 million metric tonnes of CO₂e emissions have been avoided due to the technology of off-grid solar³, the equivalent of taking 19 coal-fired power plants offline for a year. The moment a household switches to solar from a kerosene lamp, that lamp ceases emitting black carbon, curtailing its climate-warming potential. As the energy access sector matures and scales, it is shifting the development pathway of Africa and Asia towards a renewable future: replacing gas generators with powerful solar home systems, firewood stoves with electric pressure cookers, and diesel water pumps with solar-powered irrigation.
3. But that progress is now in peril due to COVID-19. Dramatically reduced sales and collections, coupled with disrupted supply chains, limited cash reserves, and tightening funding sources, are crippling companies' ability to fund operations. A recent survey found that 82% of energy access companies are struggling with limited reserves. Half of surveyed companies are contemplating lay-offs for sections of their workforce, and over half of solar companies view inventory management as a severe problem. Lay-offs could create financial stress for staff and their families. At the same time, the loss of the sector's human capital threatens a downward spiral, where service deterioration causes even more customers to stop paying, and inventory stock-outs hamper a potential recovery.
4. If we do not act now to support companies through this period of relief and recovery, we may see clean energy companies falter in their growth or fail altogether. Products could go unserved, forcing a widespread return to fossil fuels among existing renewable adopters. Even more troubling, we may lose future adoption of renewables as gaps appear in the clean energy ecosystem, just as the off-grid industry was beginning to hit significant scale. Off-grid consumers may have fewer clean energy options, imperiling long term and sustainable progress against energy access and black carbon mitigation.

Proposed Intervention

5. The Energy Access Relief Facility ("EARF") is a concessional debt fund that is intended to provide energy access companies with vital liquidity during this crisis, in the form of low-interest, unsecured junior loans. GCF will not be a noteholder in EARF, but will channel its investment into an Intermediary, Climate CV, which will participate in EARF loans to eligible companies operating in

NOL countries. These loans are meant to enable companies to remain solvent, maintain staff and supply lines, and be positioned to drive the post-COVID-19 recovery. Loan covenants will require firms to demonstrate pre-crisis viability, document their need for concessionary funding, retain a significant portion of their local staff, and report regularly on the progress of their recovery (see Schedule 1 of the Term Sheet on 'Key terms of the Loans' for indicative covenants).

6. The concessional loans are intended to be priced at a low enough interest rate depending on company size, to avoid over-indebting companies, while ensuring that only companies which actually need the money will apply. The proposed EARF is expected to lend to borrowers operating in NOL and non-NOL countries. Climate CV is expected to be funded by a subscription for partnership interests, to be managed by the same manager as EARF, and to participate in EARF loans to borrowers operating in NOL countries. The legal structure of this facility will be described in full in an eventual final term sheet.

Climate Impact/Benefits

7. The AE has secured Letters of No Objection from 9 countries (Kenya, Nigeria, Sierra Leone, DR Congo, Mozambique, Zambia, Senegal, Uganda and Rwanda). In these 9 countries, 308 companies have expressed a need for relief funding, with indicative requests totaling ~\$79.56 million, ranging from \$8,000 to \$3 million in size. Together, we estimate that these firms serve over 85 million customers and employ over 20,000 staff.

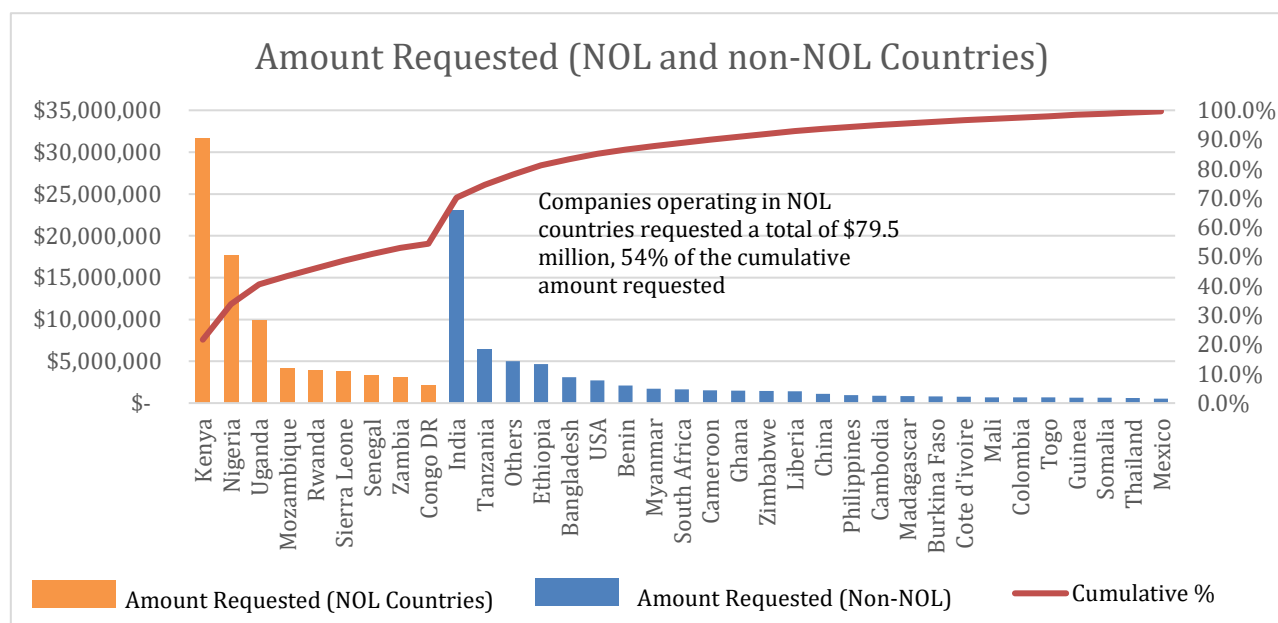


Figure 1: Amount of liquidity financing requested by energy access companies

8. The EARF could enable these energy access pioneers to continue operations, which would ensure service continuity for their customers, continued employment for their staff, and an ability to recover sales growth post-crisis. Without relief, current operations may cease or slow, resulting in foregone renewable sales. 16.3 million people may be prevented from accessing renewable household energy, producing incremental emissions of 1.33 million tons of carbon compared to a pre-COVID-19 baseline.

³ <https://www.gogla.org/resources/global-off-grid-solar-market-report-h2-2019-sales-and-impact-data>

9. In addition to these direct benefits, energy access companies are also proving to be valuable partners in the fight against COVID-19. Microgrid operators are powering health facilities in Sub-Saharan Africa and beyond. Clean cookstove companies are distributing and financing products that reduce household air pollution and can help mitigate respiratory comorbidities. And solar home system companies are keeping kerosene out of homes and darkness at bay while millions are under shelter-in-place orders.
10. Over the last ten years, climate finance institutions such as GCF have catalyzed remarkable progress. Access to modern, renewable energy has surged in places where even basic access was sparse. Yet that progress is now threatened, at a time when the sector was just beginning to expand beyond its nascency. The EARF, through the efforts of committed and unshrinking partners like GCF, can help companies to weather the storm, keep customers out of the dark, and leap forward, unbroken, into the recovery.

B. PROJECT/PROGRAMME INFORMATION

B.1. Climate context (max. 1000 words, approximately 2 pages)

Climate change problem: Describe the climate change problem the proposal is expected to address. Describe the mitigation needs (GHG emissions profile) and/or adaptation needs (climate hazards and associated risks based on impacts, exposure, and vulnerabilities) that the proposed interventions are expected to address. Also describe the most likely scenario (prevailing conditions or other alternative) that would remain or continue in the absence of the proposed interventions. Include baseline information. The methodologies used to derive such information, including the mitigation and adaptation needs, should be included in the feasibility study.

Context: In describing the mitigation and/or adaptation needs, briefly describe the target region/area of the proposed interventions including information on the demographics, economy, topography, etc.

Related projects/interventions: Also describe any recent or ongoing projects/interventions that are related to the proposal from other domestic or international sources of funding, such as the Global Environment Facility, Adaptation Fund, Climate Investment Funds, etc., and how they will be complemented by this project/programme (e.g. scaling up, replication, etc.). Please identify current gaps and barriers regarding recent or ongoing projects and elaborate further how this project/programme complements or addresses these.

Climate change problem

1. Over the past decades, the ruinous consequences of climate change have become increasingly evident at a global level. However, its impact has been unequally distributed across different regions. In particular, Sub-Saharan Africa has experienced more frequent and intense climate extremes. These negative impacts will continue to increase if immediate action is not taken. According to the Intergovernmental Panel on Climate Change (IPCC), temperature increases in Sub-Saharan Africa are expected to be higher than the global mean temperature increase, impacting health, agriculture and food security.⁴ With the aim of joining international efforts to reduce climate change, all African countries signed the 2015 Paris Agreement and committed to contributing to the global effort to mitigate greenhouse gas (GHG) emissions that have a direct impact on global warming. The goal is to maintain global temperature increases to 'well below 2°C' and to pursue efforts to limit warming to '1.5°C above pre-industrial levels'. This treaty also called for increased financial support from developed countries to support climate action efforts of developing countries.⁵

⁴ Ibid.

⁵ IPCC. "Impacts of 1.5°C of Global Warming on Natural and Human Systems". Chapter 3. 2018. https://www.ipcc.ch/site/assets/uploads/sites/2/2019/06/SR15_Chapter3_Low_Res.pdf

2. To attenuate the grim consequences of global warming in this region, it is essential to mitigate GHG emissions coming from fossil fuels. In Sub-Saharan Africa, around 53% of the population - 548 million people - still lack access to electricity⁶ and are forced to resort to carbon-emitting energy alternatives such as kerosene lanterns, biomass stoves, and fossil fuel generators, all of which produce high economic and environmental costs. Off-grid solar solutions, by contrast, offer the fastest and most cost-effective way to reach millions of people who are not connected to the grid with clean and reliable energy.
3. The energy access sector, made up of companies that manufacture, distribute, finance, and/or install solar home systems, microgrids, clean cookstoves, and/or solar-powered productive appliances, is crucial to achieve the targets set by Sustainable Development Goal 7, that aims to ensure affordable, reliable and modern energy for all. By February 2020 the energy access sector had sold more than 180 million off-grid solar units worldwide, providing lighting and other energy services to 420 million people.⁷ The off-grid solar home system sector has rapidly grown into a US\$1.75 billion annual market that supports 370,000 jobs⁸ and is projected to reach 388 million people with basic electricity access by 2030.⁹
4. The growth of the sector has played a major role in reducing the emission of GHG over the last ten years:
 - a. 74 million metric tonnes of CO₂e emissions have been avoided due to off-grid solar replacing kerosene lamps (which emit black carbon) with solar lamps or lanterns, or the equivalent of 19 coal-fired power plants going offline for a year. At least 44% of kerosene lanterns replaced have been in Sub-Saharan Africa.¹⁰
 - b. An estimated 270,000 metric tonnes of black carbon are still emitted from kerosene lamps worldwide each year. It is close to 240 million metric tonnes of CO₂. That equates to about 4.5 percent of the United States' CO₂ emissions and 12 percent of India's.¹¹ Eliminating these emissions would be equivalent to a five gigaton CO₂e reduction over the next 20 years. Research shows that households that acquire off-grid solar products stop using kerosene.
 - c. Off-grid solar and green microgrids are reducing the use of diesel and petrol generators which are often highly inefficient in the country contexts in which the off-grid sector operates. For example, the collective dependency on and capacity of Nigeria's small

⁶ IEA, IRENA, UNSD, World Bank, WHO. 2020. Tracking SDG 7: The Energy Progress Report. . https://trackingsdg7.esmap.org/data/files/download-documents/tracking_sdg_7_2020-full_report_-_web_0.pdf

⁷ Lighting Global. "Off-grid solar Market Trends Report 2020". March 2020. https://www.lightingglobal.org/wp-content/uploads/2020/03/VIVID%20OCA_2020_Off_Grid_Solar_Market_Trends_Report_Summary_High%20res.pdf

⁸ GOGLA, A Growth Engine for Jobs. June 2019. https://www.gogla.org/sites/default/files/resource_docs/gogla_off_grid_solar_a_growth_engine_for_jobs_web_opt.pdf

⁹ Ibid.

¹⁰ GOGLA. "Global Off-Grid Solar Market Report Semi-Annual Sales and Impact Data". July-December, 2019. https://www.gogla.org/sites/default/files/resource_docs/global_off_grid_solar_market_report_h22019.pdf

¹¹ The Brookings Institution. "Black Carbon and Kerosene Lighting: Opportunity for Rapid Action on Climate Change and Clean Energy for Development". 2013. https://www.gogla.org/sites/default/files/recource_docs/04_climate_change_clean_energy_development_hu_tman.pdf

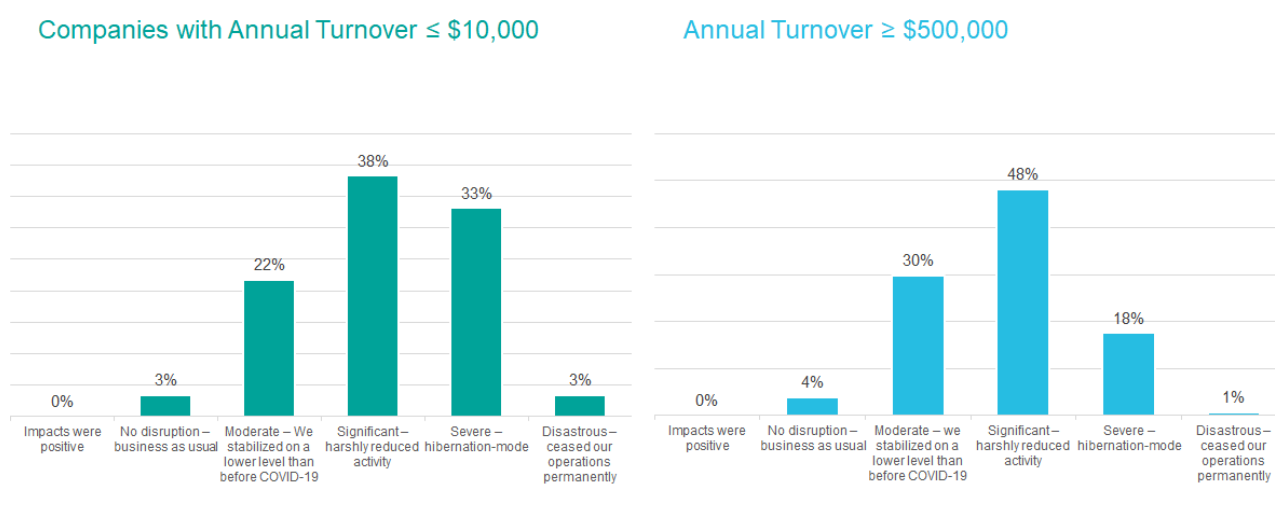
gasoline generators is eight times more than Nigeria's entire national grid.¹² This is the case both in terms of residential and business use of off-grid solar, as well as in solar water pumping (SWP). Not only do these generators have a high economic cost due to their expensive consumption of diesel, but they have a high environmental cost because of the GHG emissions of these appliances.

5. The energy access sector is not only reducing CO2 emissions in the atmosphere, but contributing to the improvement of health and education, creating jobs and income opportunities, and helping consumers save money.

Energy access at risk

6. Today, much of this momentum of GHG emissions mitigation is at risk due to the economic and financial impacts of C-19:
 - Sales growth has slowed and revenues are down, both due to customers' inability to pay, stemming from job losses related to shelter-in-place restrictions caused by the virus.¹³
 - Funding to the sector has pulled back, a result of the increased macroeconomic risk and competing public health and economic support priorities for development finance institutions.
7. A drop-off in revenues and an inability to raise new funds forces companies to rely on their cash reserves. But in a nascent, growing sector, few companies have long financial runways. According to a market survey of 621 energy access companies from 44 countries, conducted in July 2020 by EnDev, 85% cannot survive more than 5 months if current conditions prevail. From this total, 27% have had a severe disruption, forcing them to significantly curtail operations. 43% of companies cannot survive past 1-2 months. 44% of companies report that sales have more than halved, 53% of companies that offer consumer finance have seen repayment rates drop by more than a quarter.¹⁴

Figure 2: Analysis of COVID-19 impact by company size (i.e. Annual Turnover)



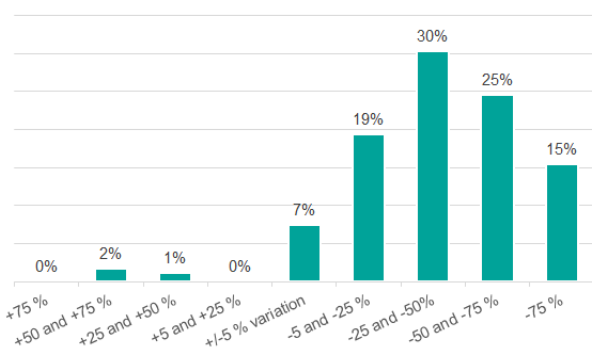
¹² A2EI and Dalberg. "Putting an End to Nigeria's Generator Crisis: The Path Forward." June 2019.

¹³ https://endev.info/images/c/c4/EnDev_Energy_Access_Industry_Barometer_FINAL.pdf

¹⁴ EnDev. "Energising Development: Covid-19 Impacts on Markets and EnDev Response Options". June 2020. https://endev.info/images/1/1e/EnDev_COVID-19_implications_and_response_options.pdf

Figure 3: Analysis by company size (i.e. Annual Turnover) of Sales volume (March – May 2020) compared to last year

Companies with Annual Turnover ≤ \$10,000



Annual Turnover ≥ \$500,000

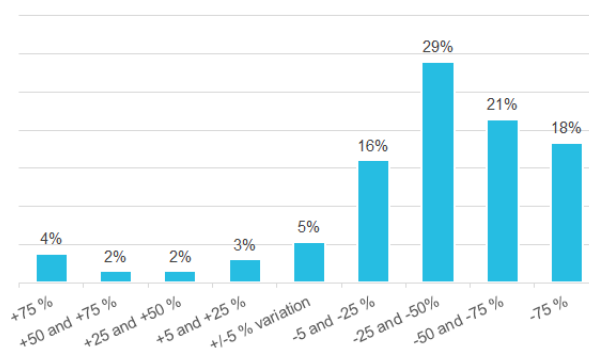
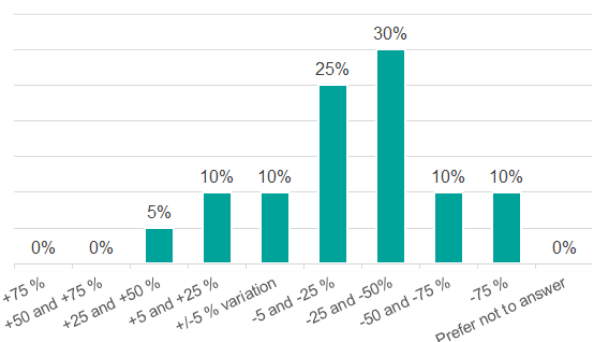
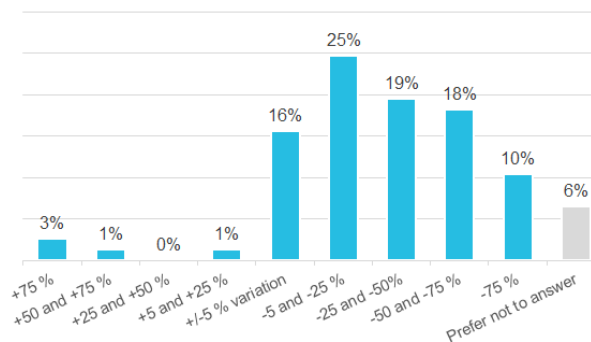


Figure 4: Analysis of collection rate (for PAYGo/credit and microgrid operators) by company size (i.e. Annual Turnover)

Companies with Annual Turnover ≤ \$10,000



Annual Turnover ≥ \$500,000



Without sufficient revenue or cash reserves, half of the companies in the EnDev survey have had to lay off staff; a quarter of firms have laid off more than 30% of their workers, 65% of respondents have seen a 'severe impact on their cashflows' and working capital, and 51% of companies believe they will face severe inventory issues in the next 3 months. A worst-case scenario is becoming clear, where illiquidity and lay-offs produce a drop in service quality and after-sales support, followed by inventory stock-outs and possible insolvencies. All of this could combine to devastate the growth projections of the energy access sector, setting the climate progress it has made back by years. Existing customers may be forced to revert to traditional pollutive fuels, while millions more potential customers may be stuck in the dark, burning kerosene and firewood, for the foreseeable future.

A Response

The Energy Access Relief Facility ("EARF") seeks to help the sector safeguard its progress towards GHG emissions mitigation, reduce the economic impact of C-19, and rapidly recover from the current crisis by

providing access to emergency relief funding. The goal is to preserve the emissions reductions the sector has already gained and position the companies to expand emissions reductions to new customers beyond the crisis. In addition to diminishing regression of progress towards GHG emissions mitigation, the EARF is also intended to provide much needed liquidity to off-grid energy companies that may otherwise have to contemplate reducing their workforces or shutting off the systems of customers who are temporarily unable to pay.

Energy access helps to create new jobs and increased incomes. Recent research in East Africa shows that 34% of households report an increase in economic activity because of solar home systems (SHS).¹⁵ For vulnerable, low-income customers, distributed solar power infrastructure provides crucial tools of resilience in times of crisis since they offer productive uses of energy and household services, information services that they can access through radio, TV, Internet and phone access and cashless transactions and social connectivity through mobile charging. Without the support of EARF to energy access companies, we risk seeing customers slip back into poverty and lose income.

Benefits around health and well-being will also be lost. Almost all off-grid solar customers report improvements in their quality of life, with the majority also reporting health and safety benefits. 89% and 86% of customers in East and West Africa respectively report improved health since purchasing their SHS while 91% and 98% report feeling safer.¹⁶ This is particularly true where solar products and clean cookstoves have replaced the use of kerosene and biomass, respectively - key drivers of household air pollution, which kills 3.8 million per year and disproportionately affects girls and women.

Indicative Need for Financing

As of July 8, 2020, 509 energy access companies, that report serving over 100 million customers,¹⁷ have requested emergency relief funding through an indicative poll. That demand totals over ~\$146M (assuming relief funding is sized to local staff headcount at a (low) average of \$4k/year per person¹⁸) and has likely only increased since July.

Table 1, seen below, breaks down the indicative funding requests by loan size. The table shows the share of requests that are within certain amounts. It demonstrates clearly that the majority of requests *by number* were made by small companies; 73% of requests were for \$200,000 or less. It also shows that the majority of requests *by value* were for larger companies; the 20% of companies asking for loans greater than \$200,000 represent 82% of the overall value requested.

¹⁵ GOGLA. "Powering opportunity in East Africa". September 2019.

https://www.gogla.org/sites/default/files/resource_docs/powering_opportunity_in_east_africa.pdf

¹⁶ GOGLA. Op. Cit. September 2019.

¹⁷ *This is an estimated number of customers and does not account for the same person perhaps being a customer to multiple companies. For those companies with operations in multiple countries, we have divided the 'number of customers across all operations' by the 'number of other countries of operation'.*

¹⁸ *This is based on all in-country staff across all countries of operations. On some particular occasions the Acumen staff have used their discretion to divide 'Approx number of in-country staff (across all countries of operation)' by the 'number of other countries of operation', when this has occurred it has been highlighted in the 'Calculation Notes' column.*

Table 1: EARF Financing Requests, Disaggregated by Loan Size

Requests by volume	
Share of requests less than or equal to \$50k	34%
Share of requests more than \$50k and less than or equal to \$100k	22%
Share of requests more than \$100k less than or equal to \$200k	17%
Share of requests more than \$200k	20%
Requests by value	
Total funding request for loans > \$200k	\$119,960,674
Percentage of total requested for loans > \$200k	82.1%
Number of loans requested > \$200k	136
Average loan size for loans > \$200k	\$882,064
Total funding request for loans ≤ \$200k	\$26,139,885
Percentage of total requested for loans ≤ \$200k	17.9%
Number of loans requested ≤ \$200k	373
Avg loan size for loans ≤ \$200k	\$70,080

The above indicative requests were not screened for eligibility nor are they limited to companies operating in NOL countries targeted by this funding proposal, and offer a preliminary sense of the scale of the need for capital in the sector. In regards to the specific scope of this partnership with GCF*:

- **Kenya:** 95 companies have expressed interest for funding from the EARF, for a total amount of \$31,650,280, with company asks ranging from \$8,000 to \$3,000,000. If successful, capital provided by the EARF could possibly maintain service for over 30M customers and could potentially preserve approximately 6,000 jobs in Kenya.
- **Nigeria:** 82 companies expressed interest in funding for a total amount of \$17,644,234.8, with company asks ranging from \$4,992 to \$3,000,000. If successful, capital provided by the EARF could possibly maintain service for over 29M customers and could potentially preserve more than 4,000 jobs in Nigeria.
- **Uganda:** 59 companies expressed interest in funding for a total amount of \$9,929,820, with company asks ranging from \$4,800 to \$1.1M. If successful, capital provided by the EARF could

possibly maintain service for over 18M customers and could potentially preserve 3,085 jobs in Uganda.

- **DRC:** 9 companies expressed interest in funding for a total amount of \$2,160,000, with company asks ranging from \$20,000 to \$1.1M. If successful, capital provided by the EARF could possibly maintain service for over 1 million customers and could potentially preserve approximately 1,000 jobs in DRC.
- **Sierra Leone:** 15 companies expressed interest in funding for a total amount of \$3,793,424, with company asks ranging from \$12,000 to \$1M. If successful, capital provided by the EARF could possibly maintain service for over 800,000 customers and could potentially preserve approximately 1,600 jobs in Sierra Leone.
- **Senegal:** 11 companies expressed interest in funding for a total amount of \$3,336,000, with company asks ranging from \$20,000 to \$1.9M. If successful, capital provided by the EARF could possibly maintain service for over 1M customers and could potentially preserve approximately 850 jobs in Senegal.
- **Mozambique:** 4 companies expressed interest in funding for a total amount of \$4,130,000, with company asks ranging from \$30,000 to \$3M. If successful, capital provided by the EARF could possibly maintain service for over 530,000 customers and could potentially preserve approximately 1,500 jobs in Mozambique.
- **Rwanda:** 18 companies expressed interest in funding for a total amount of \$3,865,200, with company asks ranging from \$8,000 to \$1M. If successful, capital provided by the EARF could possibly maintain service for over 1.5M customers and could potentially preserve approximately 1,650 jobs in Rwanda.
- **Zambia:** 15 companies expressed interest in funding for a total amount of \$3,025,200, with company asks ranging from \$40,000 to \$600,000. If successful, capital provided by the EARF could possibly maintain service for over 2.4M customers and could potentially preserve approximately 1,060 jobs in Zambia.

**The actual deployment by the EARF may vary, when updated requests are made and the requests are vetted for eligibility and documentation; we use this information to make assumptions indicatively about the potential scope and impact of funding. In addition, these expressions of interest are merely indicative; additional companies that did not fill out an expression of interest could still apply funding in the future and other companies may no longer require or be eligible for funding.*

Country	Count of Companies*	Staff Per Country	Customers per Country	Amount Requested	% of Total Requested	% of NOL Amount Requested
Kenya	95	5,921	30,105,900	\$ 31,650,280	21.66%	39.795%
Nigeria	82	4,030	29,175,072	\$ 17,644,235	12.08%	22.184%
Uganda	59	3,085	18,368,599	\$ 9,929,820	6.80%	12.485%
Mozambique	4	1,525	533,167	\$ 4,130,000	2.83%	5.193%
Rwanda	18	1,666	1,571,885	\$ 3,865,200	2.65%	4.860%
Sierra Leone	15	1,592	803,649	\$ 3,793,424	2.60%	4.770%
Senegal	11	854	1,047,735	\$ 3,336,000	2.28%	4.194%
Zambia	15	1,064	2,458,673	\$ 3,025,200	2.07%	3.804%
Congo DR	9	997	1,027,480	\$ 2,160,000	1.48%	2.716%
NOL Total	308	20,734	85,092,159	\$ 79,534,158.80	54%	100%
Non NOL Total	272	18,203	152,001,389	\$ 66,566,400.00	46%	
Totals	580	38,937	237,093,548	\$ 146,100,558.80	100%	

*For this analysis, we have counted every local affiliate of multi-national companies as a distinct company, hence the discrepancy with the FP.

The loans requested here are equivalent to the staffing costs of each company for a period of 12 months, buying them vital time to recoup, recover, and regain their growth momentum. Without this capital, many of these companies will not make it through the pandemic. If we lose just 20% of the companies due to financial collapse, we face a threat of leaving millions of people without off-grid access if these companies working on the front line of energy access and climate change do not survive.

As a result, the target for the overall EARF fund is to raise sufficient funding to offer immediate short-term financial support to off-grid energy companies and protect a significant share of the progress already made towards fighting climate change. Should demand in NOL countries meet or exceed the indicative requests, borrowers meet eligibility requirements, and to the extent it is in the best interests of the EARF to fund loans to NOL countries, if fundraising is successful, it is possible that US \$60 million could be allocated to providing loans to companies operating in NOL countries, including GCF's investment of US \$30 million.

Related Projects and Interventions

Although the EARF will have a crucial role to protect the sustainability of the off-grid energy sector, a range of additional financial support mechanisms will still be required to protect the essential services that the sector delivers to low-income communities over the next weeks, months and years. In particular, micro-loan and grant support mechanisms will be needed to help Micro and Small Enterprises (MSMEs) for which the relief fund is not the right solution. These smaller and locally-owned companies also play a crucial role in expanding energy access to underserved regions and countries. In consequence, industry associations such as GOGLA, the Clean Cooking Alliance and AMDA, among others, continue to work with other sector stakeholders to raise a fully-grant funded facility of US\$ 35 million for very small companies to access grants.¹⁹ The EARF hopes to work collaboratively with this initiative, since they serve complementary objectives of supporting companies, though using different financial instruments to support companies at different stages of maturity. Companies that are selected are expected to be screened against a set of eligibility criteria.

B.2. Theory of change (max. 1000 words, approximately 2 pages plus diagram)

Describe the theory of change and provide information on how it serves to shift the development pathway towards a low-emission and/or climate resilient direction. Provide the diagram of the theory of change (approximately 1 page).

The theory of change should include any barriers (social, gender, fiscal, regulatory, technological, financial, ecological, institutional, etc., as relevant) that need to be addressed. Use a results chain of inputs, activities, outputs, outcomes, and impact statements, and identify the how and why of causal relations to deliver the project's expected results.

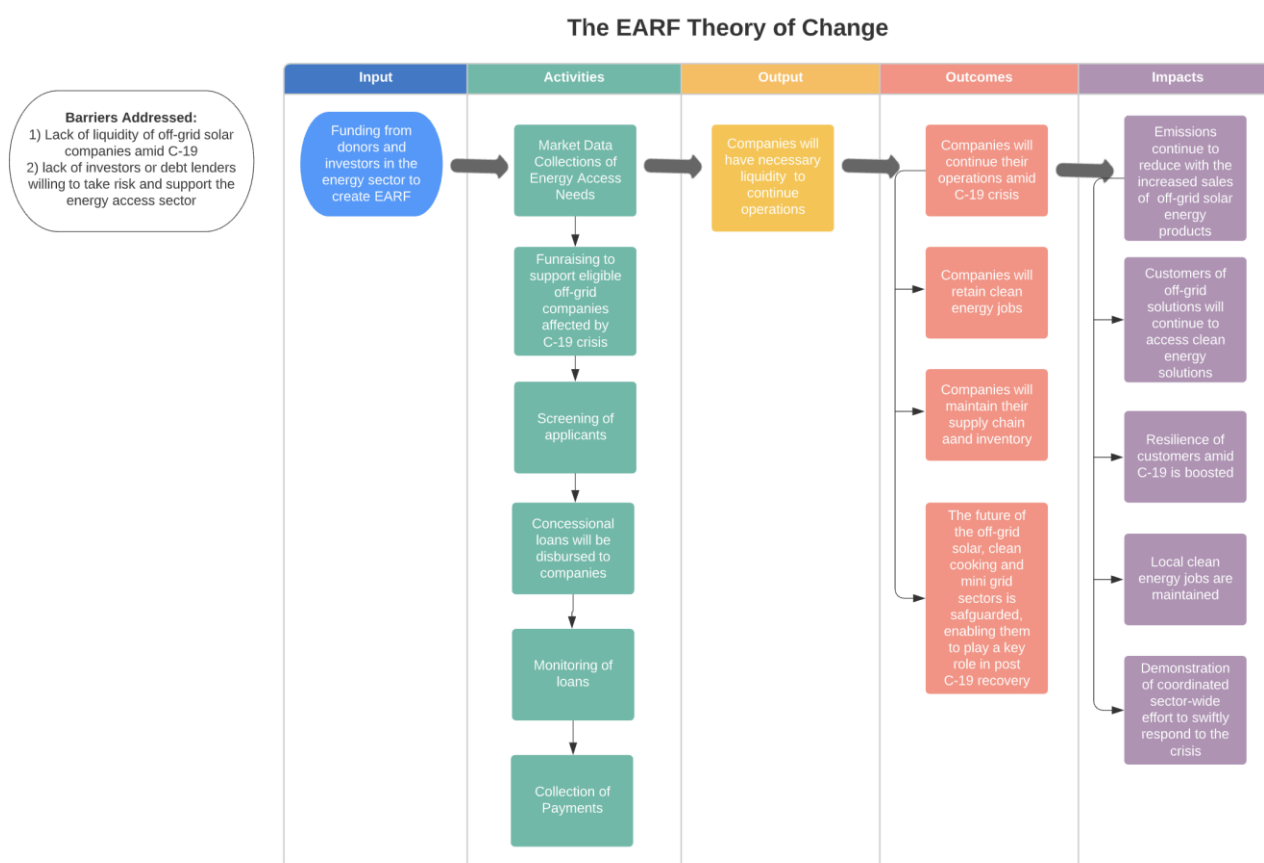
Theory of Change

The EARF, with participation from Climate CV, an intermediary to be capitalized by GCF, is intended to provide previously viable energy access companies in Sub-Saharan Africa with emergency liquidity to help them to weather the crisis caused by the pandemic, stay in business, and be positioned to drive the post-COVID-19 recovery. The previously mentioned EnDev survey stated that due to the Covid-19 impact, 82% of energy access companies in this region were struggling with limited reserves and 29% had already ceased operations, including mid-sized and larger firms. Therefore, it is assumed that if these companies receive concessional financial relief in the form of unsecured loans, grants or other financing mechanisms, they will be able to continue selling their off-grid solar energy products to 2.97M low income and rural homes and businesses and 16.3 million additional people will have access to renewable energy. This expansion of clean energies over fossil fuels to access electricity is expected to bring a continued reduction in GHG emissions of 1.33 million metric tonnes of carbon dioxide equivalent (tCO₂e) during the programme lifetime of 6 years. Furthermore, financing energy access companies could reduce C-19's impact on downshifting the momentum towards GHG emissions reduction instead of allowing C-

¹⁹ <https://www.energyaccessrelief.org/#response-link>

19 to stall or even worse, reverse momentum. Lastly, as a co-benefit, indicative financing requests suggest that companies could retain at least 10,000 qualified jobs in a sector that is crucial for climate change adaptation in Sub-Saharan Africa.

Without the EARF, it is expected that if the current crisis caused by C-19 continues, many energy access companies risk shutting down due to loss of revenue and ability to serve customers, forcing customers to switch back to using diesel, petrol or kerosene to light their homes and power their businesses. This could lead to an increase in GHG emissions, damage the long-term potential of the sector to drive sustainable growth, and create immediate negative health impacts for current off-grid customers. Additionally, thousands of clean energy jobs would be lost due to the financial stress of these companies.



Barriers addressed

The EARF aims to address two main barriers: (1) lack of liquidity of off-grid solar companies due to a reduction of the purchasing power of their customers in the context of C-19, and (2) lack of investors or debt lenders willing to take risk and offer relief support to the energy access sector under these unprecedented circumstances.

Access to investment capital to stabilize businesses continues to shrink in the midst of C-19. Most investors are retreating to focus efforts exclusively on existing portfolios, without making new investments. Debt lenders are hesitant to issue new loans, and those being issued are denominated in hard currency and priced at approximately 9-12% interest. Investors surveyed by GOGLA predicted less

funding available for new investments, slower operations for existing funds, reduced revenues, transaction delays, and reduced risk appetites if the situation does not improve.

The relief and recovery loans disbursed by the EARF are meant to be priced at a rate low enough for companies that need them to survive and preserve jobs while not being overburdened by repayments. However, the fact that the financing is still returnable capital and comes at a cost ought to provide a disincentive for companies to apply for loans that they do not need.

Some have asked if these loans will compete with current energy access debt funds on the market. These current facilities have shorter tenors and higher interest rates, which are appropriate under normal market conditions. For companies that are showing strong resiliency in light of the pandemic, these companies can and should continue accessing debt to fuel growth, expansion, inventory, and working capital, when appropriate. EARF funds, on the other hand, are short term liquidity loans that are expressly designed not to compete with those facilities. The tenor on EARF loans is expected generally to be 4 years or less to accommodate recovery and the interest rate is intentionally low to help relieve repayment pressures given customer sales and repayments are depressed. The Energy Access Action Network has already reached out to debt investors to the sector, many of whom have rescheduled their loans to companies during the crisis (see Annex 7). By offering liquidity as a stop gap to energy access companies with demonstrated liquidity needs, other market priced facilities are more likely to continue to have companies to lend to in the recovery.

We are not aware of any government relief programs that exist in the key operating markets this fund is attempting to support. Therefore, the EARF is aiming to continue supporting the work that this growing sector has achieved regarding climate change mitigation, ensuring that GHG emissions continue to be reduced despite the pandemic. Moreover, the EARF aims to preserve local clean jobs that if lost could also have a negative long-term impact on the achievements these companies have reached regarding climate action. During lockdown scenarios, jobs are threatened to be terminated, and this fund will preserve 80% of those jobs for successful applicants.

Meanwhile, the demand for solar products and services, which may be deemed 'essential services' in some African markets under new COVID regulations, has increased. Many people have moved from urban areas back to rural areas where their families are located, driving up demand for basic electricity. In Uganda, for example, 15 million children are currently out of school due to the government lockdown²⁰, which is also driving demand for electricity as they are in households. Further, with utilities facing uncertain financial futures, off-grid solar has been viewed by customers as a good source of redundancy in case the lights go out. As a result, it is crucial that off-grid solar companies continue to operate and serve these new customers so that they do not resort to other carbon-intensive alternatives.

The project is high risk and various factors could contribute to its success or failure, and we make no assurances that the theory of change may be achieved.

B.3. Project/programme description (max. 2000 words, approximately 4 pages)

²⁰ UNICEF. "In education, now is the time to 'build back better'". May 26, 2020.
<https://www.unicef.org/uganda/press-releases/education-now-time-build-back-better>

Define the project/programme. Describe the proposed set of components, outputs and activities that lead to the expected Fund-level impact and outcome results. Components should reflect the project/programme level outcomes.

This should be consistent with the financing by component in section C.2, the results and performance indicators provided in section E.5, and the implementation timetable in annex 5.

Energy Access Relief Facility

The COVID Energy Access Relief Facility (EARF) is a sector-wide response to the global COVID-19 pandemic and its resultant economic downturn. The EARF's goal is to provide liquidity to energy access companies that are attempting to endure and recover from the health and economic crises that have afflicted rich and poor countries alike. To achieve that goal, the EARF intends to issue concessional loans, to energy access companies that are both:

- ❖ Combating climate change, either through enabling low-income households to mitigate emissions by switching to cleaner energy sources, or by helping low-income households adapt to new demands on their fuel consumption, agricultural practices, and/or productivity.
- ❖ Demonstrating a clear need for liquidity support caused by the COVID-19 crisis

This financing is intended to provide companies with the necessary liquidity to continue their operations and retain their staff, the flexibility needed to continue operations, and the ability to maintain their supply chain and inventory so they can grow post-crisis. Over 500 companies have now expressed interest in benefiting from the fund, demonstrating significant indicative need.

Eligible companies are expected to apply through the EARF website and meet the fund's eligibility criteria. Please see Schedule 1 of the Term Sheet on 'Key terms of the Loans' for finalized eligibility criteria.

Any company can apply that meets these criteria and is operating in the member countries of the International Bank for Reconstruction and Development (IBRD) in Africa and Asia. As of July 8, 2020, the majority of indicative requests (~74%) came from African companies. The focus of EARF will be on Sub-Saharan Africa and Asia, with GCF participation limited to 9 countries in Africa to the extent they have provided letters of no objection. There may be additional regional carve-outs from other contributing entities in the EARF that have geographic restrictions on the use of proceeds.

EARF Structure and Support

The EARF is born from the collaboration of major donors and investors in the energy access sector, which formed the **COVID Energy Access Action Network** and its **Steering Committee** to catalyze action in the face of the obvious threat to company operations posed by the pandemic. The EARF is expected to be a Dutch B.V., owned by a Dutch foundation. It will be governed by a Board of Directors, Advisory Board consisting of EARF investors who opt to be a member (including Acumen as an observer), the Facility Manager (SIMA), and an Investment Committee to make lending decisions.

GCF's investment is expected to be provided through an Intermediary, Climate CV, which will be a Dutch limited partnership (commanditaire vennootschap). GCF will be a Limited Partner (LP) in Climate CV, which will enter into a Master Participation Agreement with the EARF. Climate CV participations will only be on loans to countries where NOLs have been obtained. This structure has been created to facilitate the ringfencing of GCF proceeds for providing loans to borrowers operating in countries in which NOLs have been obtained, as the EARF may have a larger geographic target. Acumen will be the accredited entity, and will also invest directly into the EARF. SIMA will act as the General Partner (GP) in Climate CV. The final structure will be set out in the eventual Term Sheet.

Final investment decisions and the decision to act on overdue payments will be made by an Investment Committee (the IC).

SIMA, the Facility Manager, is an experienced and reputable fund manager that currently manages one of the largest funds in the off-grid sector and has deployed more than USD 95 million into energy access, largely in sub-Saharan Africa. SIMA will be responsible for the full facility management:

Fund management

- Structuring and launch of the fund
- Regulatory and all other aspects of fund entity
- Manage liquidity of the fund
- Repayments to investors
- Fund liquidation

Investor relations

- Investor outreach and fundraising (with support from Advisory Committee)
- Investor onboarding
- Investor reporting (semi-annually)

Investment process

- Receive applications / sourcing
- Check against eligibility criteria
- Screening applications
- KYC data collection
- IC decision preparation / Investment proposal
- Secondary review / portfolio construction
- Consolidation IC decisions
- Execute instructions received from IC
- Draft loan agreements
- KYC validation
- Loan disbursement
- Send payment notifications
- Collect interest and repayments

Monitoring & risk management

- Monitor cash flows from investee companies
- Credit and impact monitoring of investee companies (KPIs, covenants)
- Escalation to IC
- Valuation of positions / provisions (quarterly)

Restructuring & workouts

- Negotiate restructuring

At scale, the EARF is expected to fund a significant number of companies in NOL countries. Indicative downstream loan terms for the loans can be found in Schedule 1 ("downstream loan terms") of the Term Sheet.

EARF will distribute returned capital and certain profits to noteholders, after EARF expenses, fees and reserves. EARF will distribute returned capital and certain profits to Climate CV with respect to its participation in loans to borrowers operating in NOL countries, less certain fees and expenses, and Climate CV will then distribute returned capital and certain profits to its LP (GCF) after fees, expenses and reserves.

The structure of the EARF and Climate CV and terms of funding to and by such entities is subject all respects to the definitive agreements and disclosure for the EARF and Climate CV. The final structure and terms will be set out in the eventual Term Sheet.

For a brief background on certain stakeholders in the EARF:

- ❖ **Acumen** is a pioneer non-profit impact investment fund with almost 20 years' experience in small and medium-sized enterprises that serve low-income communities in developing countries across South Asia, Sub-Saharan Africa, and Latin America. Acumen invests "Patient Capital" in early-stage companies across

critical sectors such as agriculture, education, energy, financial inclusion, and affordable healthcare. Acumen has significant experience of creating innovative investment funds in partnership with the GCF i.e. Kawisafi Ventures which is an investment fund focused on creating energy access in East Africa and ARAF which is the climate resilience focused agriculture investment fund in East and West Africa. Acumen is the accredited entity, and will be responsible for assisting in the monitoring and evaluation phases of the EARF, including in administering the GCF investment.

- ❖ **Social Investment Managers and Advisors, LLC (SIMA)** is a new generation of fund manager with a focus on innovative investment structuring in emerging market impact investments. SIMA invests in companies that align their business and social goals for improving the lives of low-income customers. SIMA's principals have invested over USD. 2.3 billion in impact investments in more than 50 countries and 18 funds, covering more than 200 relationships. SIMA has a team of 20 people spanning across US, Kenya, Pakistan and India. Currently, SIMA has two active funds in the sector. As part of Fund I, SIMA has disbursed funds across the off-grid solar value chain including manufacturers, distributors, financiers and vertically integrated companies. SIMA's investments have helped provide direct employment to 36,500 full time and commission-based employees (43% of which are women), and sold 12.65 mm pico and larger solar home systems. SIMA also has a track record of field building which includes structuring tripartite financing for locally-owned off-grid solar distributors where manufacturers also put "skin in the game", pioneering Islamic financing in the sector, and creating the off-grid solar sector's first Code of Conduct which has now developed into the industry standard. SIMA is the EARF Facility Manager and will manage the operations of the fund, investor relations, the investment process and monitoring, including workouts, and manage the fund administration (in partnership with a dedicated Fund Admin provider).

SIMA, the Facility Manager, was chosen through a clear and transparent process by the Steering Committee of the investor coalition.

EARF Components, Activities, Target Deliverables, Outputs, and Outcomes at Scale

Component #1: Disburse concessional loans to energy access companies who are helping to mitigate climate change and have a demonstrated need for liquidity support.

Impact 1 – 1.33 million metric tonnes of carbon dioxide equivalent (tCO₂e) are reduced or avoided through safeguarded sales of renewable energy and emission-reducing products over the lifetime of the programme.

Impact 2 - 11,700 local green jobs (of which at least 3,150 are held by women) are maintained and continue to enable climate mitigation and energy access activities in rural markets.

Impact 3 – 16.3 million beneficiaries spanning households, businesses and vital national and community infrastructure benefit from clean energy access and the myriad co-benefits it brings.

Impact 4 - 24.5 MWs of low-emission energy capacity installed, generated and/or rehabilitated as a result of GCF support

- **Output 1.1** Energy companies have sufficient liquidity to retain staff and maintain growth, providing access to clean energy technology to new households
 - **Outcomes**
 - **Outcome 1.1.1** – 60% of companies receiving EARF funds report that they have reached pre-crisis sales levels as a result of EARF funding
 - **Outcome 1.1.2** – 18% increase in cumulative # of households reached across EARF portfolio, compared to baseline
 - **Outcome 1.1.3** – 16,340,2435 individuals accessing clean energy through sales or service from a EARF beneficiary company
 - **Activities**

- Activity 1.1.1 Establishment of the EARF. Acumen and other senior investors, as well as EE, to fund and secure a first close of EARF
 - ◆ Sub-activities
 - Landscaping
 - Fundraising and closing
 - Reporting
 - ◆ Deliverable(s)
 - Analyzed and segmented data on need for concessional financing, disaggregated by country and company type.
 - Indicative term sheet with EARF investors.
 - EARF achieves first closing.
- Activity 1.1.2 Establishment, Management and Termination of Climate CV. A separate financing vehicle for GCF, Climate CV, is set up, managed and terminated by SIMA
 - ◆ Sub-activities
 - Climate CV establishment
 - Climate CV management
 - Climate CV termination
 - Reporting
 - ◆ Deliverables
 - Climate CV is formed, GCF subscription completed and participation agreement with EARF finalized
 - Legal documents related to Climate CV establishment
 - Annual reports
 - Performance reports
 - Evaluation reports
- Activity 1.1.3 Management of the sub-participation. Applicant eligibility is checked and verified by SIMA before submitting to EARF's Investment Committee, loans are disbursed, borrowers are monitored, interest and principal is collected, companies are engaged for evaluation and influence.
 - ◆ Sub-Activities
 - Screening
 - Approval and Disbursement
 - Collections
 - Monitoring of the loans and impacts
 - Reporting
 - Influence
 - ◆ Deliverables
 - Applications processed for eligibility
 - Applications processed for submission to IC.
 - Annual reports.
 - Semi-annual reports.
 - Midpoint and end of project evaluation
 - Interest income and capital returned to investors
 - Delinquencies and/or defaults resolved expeditiously and as advantageously as possible.
 - Fully-disbursed fund.
 - Portfolio of companies who have received concessional finance.
 - 100% of companies receive information on public health needs, flexible work policies, and customer support options

- Mid-line and end-line reports on actions taken by companies to support staff, customers, and/or communities

Component #2: Monitor the financial and operational status of companies that have received concessional finance, quantifying the impact that EARF funds have had on staffing levels, sales, and climate change mitigation. Facilitate knowledge exchange between companies to encourage the adoption of best practices or catalyze sector-wide responses to systemic business issues.*

Impact 5 - A cumulative 500 sector experts (including company, investor, and donor staff) receive EARF-specific insights into best practices, coping mechanisms, and guidance for future crises.

Impact 6 – Demonstration of coordinated sector-wide effort to swiftly respond to crisis, proving ability to collaborate across governments, organizations, and capital providers to solve global problems together (i.e. useful proof point for climate change action in the future).

- ❖ **Output 2.1** Lessons learned throughout the crisis and the relief process, from both the EARF partners and funded companies, are disseminated to the benefit of the wider energy access sector.
 - **Outcomes**
 - Outcome 2.1.1 – 500 sector experts influenced by insights and knowledge outputs related to EARF
 - Outcome 2.1.2 – 80% of recipient companies have gained market or business insights from an EARF-led convening
 - Outcome 2.1.3 – 40 energy access companies which are NOT receiving EARF funding who gain material insight into business continuity practices or other improved operational strategies
 - **Activities**
 - There are no activities directly related to the GCF's investment as part of this output.
- ❖ **Output 2.2** Energy access sector demonstrates clear ability to organize and collaborate in order to overcome sector-wide threats such as the COVID-19 pandemic
 - **Outcomes**
 - Outcome 2.2.1 – 120 organizations represented in EARF-related strategy sessions and/or working groups
 - **Activities**
 - There are no activities directly related to the GCF's investment as part of this output.

Following the initial disbursements, the EARF intends to reserve an adequate liquidity level.

Referring to the feasibility study, describe why this set of interventions was selected instead of alternative solutions and how the project/programme can help unlock the needed support in a sustainable manner. Also identify trade-offs of the selected interventions, if applicable.

Acumen and other interested parties explored a number of alternative solutions, particularly grant financing and commercially-priced debt. However it was determined that neither approach could hope to attract sufficient amounts of capital to meet demand without imposing unsustainable levels of debt service upon early-stage energy companies.

For Enhanced Direct Access (EDA) proposals and projects/programmes with financial intermediation (loans or on-granting), describe the selection criteria of the sub-project and types.

** Component 2 may be integrated into Component 1.*

B.4. Implementation arrangements (max. 1500 words, approximately 3 pages plus diagrams)

Provide a description of the project/programme implementation structure, outlining legal, contractual, institutional and financial arrangements from and between the GCF, the Accredited Entity (AE) and/or the Executing Entity(ies) (EE) or any third parties (if applicable) and beneficiaries.

- Provide information on governance arrangements (supervisory boards, consultative groups among others) set to oversee and guide project implementation. Provide a composition of the decision-making body and oversight function, particularly for Enhanced Direct Access (EDA) proposals.
- Provide information on the financial flows and implementation arrangements (legal and contractual) between the AE and the EE, between the EE or any third party and beneficiaries. For EEs that will administer GCF funds, indicate if a Capacity Assessment has been carried out. Where applicable, summarize the results of the assessment.
- Describe the experience and track record of the AE and EEs with respect to the activities (sector and country/region) that they are expected to undertake in the proposed project/programme.

Provide a diagram(s) or organogram(s) that maps such arrangements including the governance structure, legal arrangements, and the flow and reflow of funds between entities.

The following section contains indicative descriptions of the EARF and Climate CV, including their legal structures, corporate governance, activities, and contractual relationships. The descriptions in this section are subject to and qualified in their entirety by the final Term Sheet and prospectus of EARF, Master Participation Agreement between EARF and Climate CV, and governing documents of EARF and Climate CV.

EARF Structure

- The EARF is intended to mobilize capital to achieve maximum liquidity support while maintaining a focus on capital preservation.
- Although the total facility may reach its target or higher, the relevant size for this proposal is expected to be US\$60 million, inclusive of the US\$30 million in funding from GCF, which is intended for investment and project management costs.
 - Approximately US\$30 million of funding in the EARF facility is intended to be allocated towards loans to companies operating in NOL countries, which the GCF facility is meant to participate in equally. Hence the overall size of the programme for the NOL countries is intended to be approximately US\$60 million, with an estimated mitigation impact at that scale of 1.33m tCO₂e avoided.
 - The funding totals in this section are indicative and reflect funding still under discussion. As such, the cofinanced amount is subject to change.
- The **EARF facility** will be formed as a Dutch private limited company, or BV. Its sole shareholder will be a Dutch foundation to ensure the fund meets its social objectives.

GCF Structure:

- **GCF will subscribe for limited partnership interests in a Dutch limited partnership (commanditaire vennootschap), referred to herein as Climate CV. Climate CV will enter into a master participation agreement with EARF to participate in loans to eligible borrowers operating in countries where Acumen has obtained a NOL.** Participated loans will be held in name of EARF as lender.
- There is a possibility that EARF will commit and disburse loans to companies in NOL countries, before GCF's investment closes. In such cases, EARF may sell a participation to Climate CV (i.e., the intermediary entity) over such pre-existing loans. In case that GCF Proceeds will be used to retroactively finance pre-existing loans, such loans will be evaluated to ensure their compliance with all the GCF requirements (i.e. eligibility criteria, key commercial terms, as well as applicable ESS and AML/CFT requirements). SIMA will confirm and represent that the loans are compliant with the above requirements.

Aspirational US\$100 million Scenario:

The EARF has a broader geographic restriction than the countries in which we have obtained NOLs. As such, while the EARF partners have aspirations to bring total project funding up to a target US\$100 million, for purposes of this proposal, indicative cofinancing is limited to funding that has the same geographic use of proceeds restrictions as the GCF funding, i.e., up to \$30M. With a commitment from GCF, the EARF is hopeful that it may be able to unlock additional investment.

Climate CV Legal Structure and Governance

The Climate CV, a Dutch-based entity (*commanditaire vennootschap*), will be set up to ringfence GCF's capital for NOL countries. SIMA will be the General Partner (*commanditaire vennoot*) who will manage and operate the entity, and GCF will be the Limited Partner (*stille vennoot*). SIMA as GP will have fiduciary obligations to the Climate CV. Decision-making parameters and purpose will be enshrined in the operating/partnership agreement of Climate CV, which will be a binding document. Only the General partner is liable towards third parties (please note that the Limited partner cannot represent the CV, otherwise it might become liable to third parties). EARF will be the lender of record for the loans in which Climate CV participates. Climate CV will flow money to EARF to invest in qualifying loans, and EARF will flow repayments and certain interest back to Climate CV, under the terms of a Master Participation Agreement, all in USD. Climate CV will also be meant to comply with the eventual Funded Activity Agreement. Climate CV and EARF are participating in the same loans with a similar rate structure, meaning their investments are intended to earn similar returns net of fees, be *pari passu* in terms of seniority and share any profits and losses proportionally.

How Acumen will Restrict changes in the Investment Strategy of EARF

The Investment strategy will be enshrined in the prospectus, which binds EARF with respect to the Noteholders holding instruments issued by EARF. The master Participation Agreement between Climate CV and EARF will reflect provisions relevant to the participation (eg, investment strategy, eligibility criteria, limitation of investments to NOL countries) and other requirements of GCF in relation to the participation in the loans; these requirements will not be able to be changed without the consent of GCF (to be reflected in the CV agreement) or Acumen (to be reflected in the subsidiary agreement), and/or through Acumen's seat in the Advisory Board of the EARF.

The Master Participation Agreement will reference and bind EARF/SIMA to the investment strategy, eligibility criteria, loan terms, processes, NOL country loan requirements, and other key terms of the participation, and is intended to work somewhat automatically, and SIMA will be bound not to deviate. It is intended that the terms of the loans provided by the EARF are (except for the NOL requirement) aligned with the terms and conditions to participate in EARF loans pursuant to the Master Participation Agreement. Further, Acumen is expected to be a third party beneficiary under the participation agreement with rights to enforce its provisions through Climate CV as the participant and party to the participation agreement. Acumen will receive notice and accounting of activity under the participation, and will also obtain IC memoranda to confirm eligibility criteria is met through its observer seat on the IC.

Acumen will enter into a subsidiary agreement with SIMA as Facility Manager of the EARF, which will pass through the rights and requirements of GCF and will reference and bind to the investment strategy, and contain removal rights for the manager and similar rights as those attached to the Notes (to the extent relevant for GCF). Enforcement of the rights contained in the subsidiary agreement will occur via a combination of Acumen bringing certain decisions to GCF, and/or the decision requiring the approval of the advisory board (and GCF will be offered a seat on and if so sitting be required as a needed vote for an action).

For purposes of clarification, Acumen will not be the manager of EARF or Climate CV nor make decisions per se in lieu of the manager's judgement other than enforcing the robust contractual arrangements described above.

This description is subject to and qualified in its entirety by the final prospectus, Subsidiary Agreement, Master Participation Agreement, and other relevant documentation.

Managing Potential Conflicts of Interest

A potential conflict of interest could arise if there is a dispute between EARF and Climate CV under the participation agreement, as SIMA would have an interest in both sides. However, this is highly unlikely to

manifest, as Climate CV is set up to accommodate a ringfence for GCF, rather than because different governance or objectives are desired. Another potential conflict of interest would be if EARF desires to lend to borrowers in which other funds under its management are invested; this would be a disclosable conflict at the IC.

If either type of potential conflict of interest should arise, it would be reviewed and decided by the advisory board, on which GCF would be offered a seat and Acumen would have an observer seat.

EARF Legal Structure and Governance

The EARF will be a Dutch private limited liability company (besloten vennootschap met beperkte aansprakelijkheid) incorporated under the laws of the Netherlands. The EARF is held by the Stichting Impact Investment Foundation. The EARF is governed by a Board of Directors made up of one SIMA representative and one Dutch Resident who is also an expert in the off-grid solar sector. The Advisory Board is made up of all key investors of the EARF (including an Observer from Acumen, the AE) and have instruction rights to the Board of Directors.

Governing Bodies

Advisory Board

The Advisory Board shall have instruction rights in regard to the Board of Directors.

The initial members of the Advisory Board are expected to consist of investors that have each made a certain Commitment to the Facility.

Advisory Board Meeting: Each Advisory Board seat grants the right to one vote at every general meeting of Advisory Board. Meetings of Advisory Board of the Facility may be held at such places and times specified in their respective convening notices.

Board of Directors

The EARF will be overseen by its Board of Directors (the Board).

The Board has responsibility for overseeing the management of the Facility in accordance with the Private Placement Memorandum and the Articles, laws and other relevant legal requirements. The Board is responsible for overseeing all investment management, portfolio management, administration and marketing functions related to the EARF are conducted appropriately. The Board will inter alia implement the investment objective and policy of the EARF, subject to the risk diversification rules and investment restrictions set out in the Private Placement Memorandum.

The Board of Directors is also responsible for selecting the KYC, Administrative and Payment Agent, and other such agents as are appropriate.

Members of the Board of Directors shall be indemnified by the EARF except in the event of fraudulent acts, willful misconduct, or gross negligence with respect to the business of the EARF. The Board of Directors is expected to consist of one representative of SIMA and one Dutch resident.

The Board of Directors of the EARF shall approve the Investment Committee after consideration of the recommendation of the Manager.

The Board shall have the controlling vote to the extent that the Investment Committee reaches a tied decision in respect of any matter within the remit of the Investment Committee.

Conflicts of Interest: Any Conflict of Interest identified will be escalated to the Advisory Board.

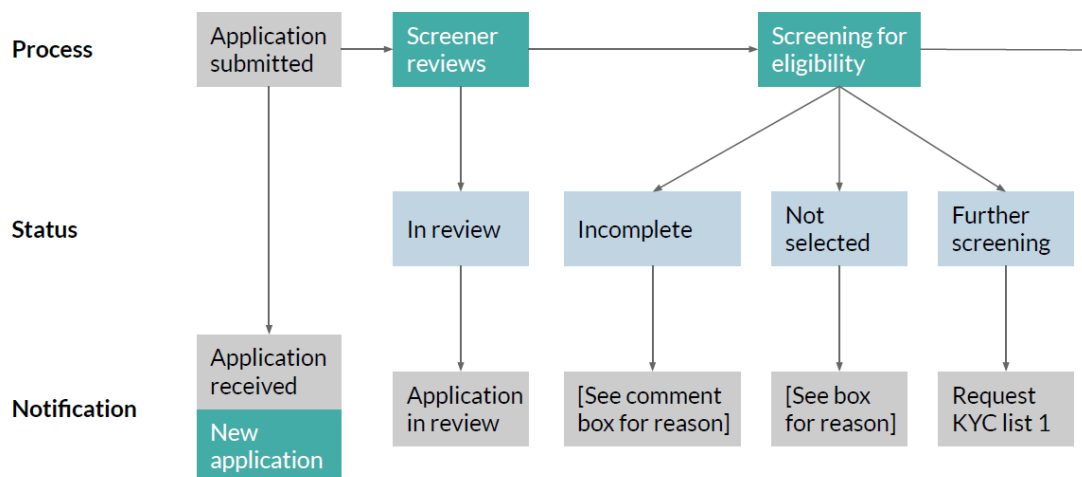
Investment Committee: The EARF will have an Investment Committee (the IC) consisting of representative(s) of the EARF Manager, representative(s) of energy access market experts, and/or representative(s) of Investors. The

EARF Manager representative will chair the IC. The Investment Committee is expected to include expert members and meet at least every 4 weeks.

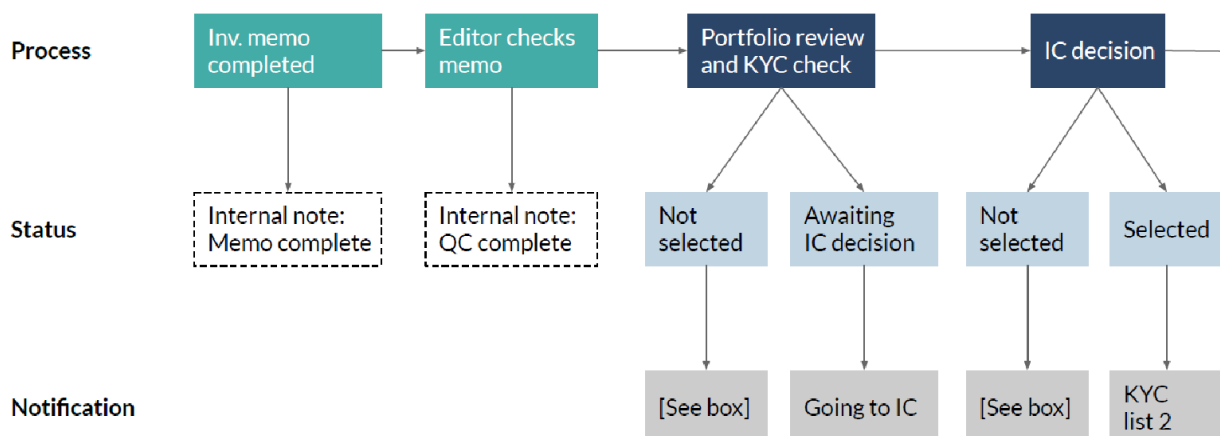
Operational Processes:

The following process flow diagrams are indicative of the potential EARF procedure, but subject to change by the eventual facility manager.

Process flow diagram #1 – Screening Process

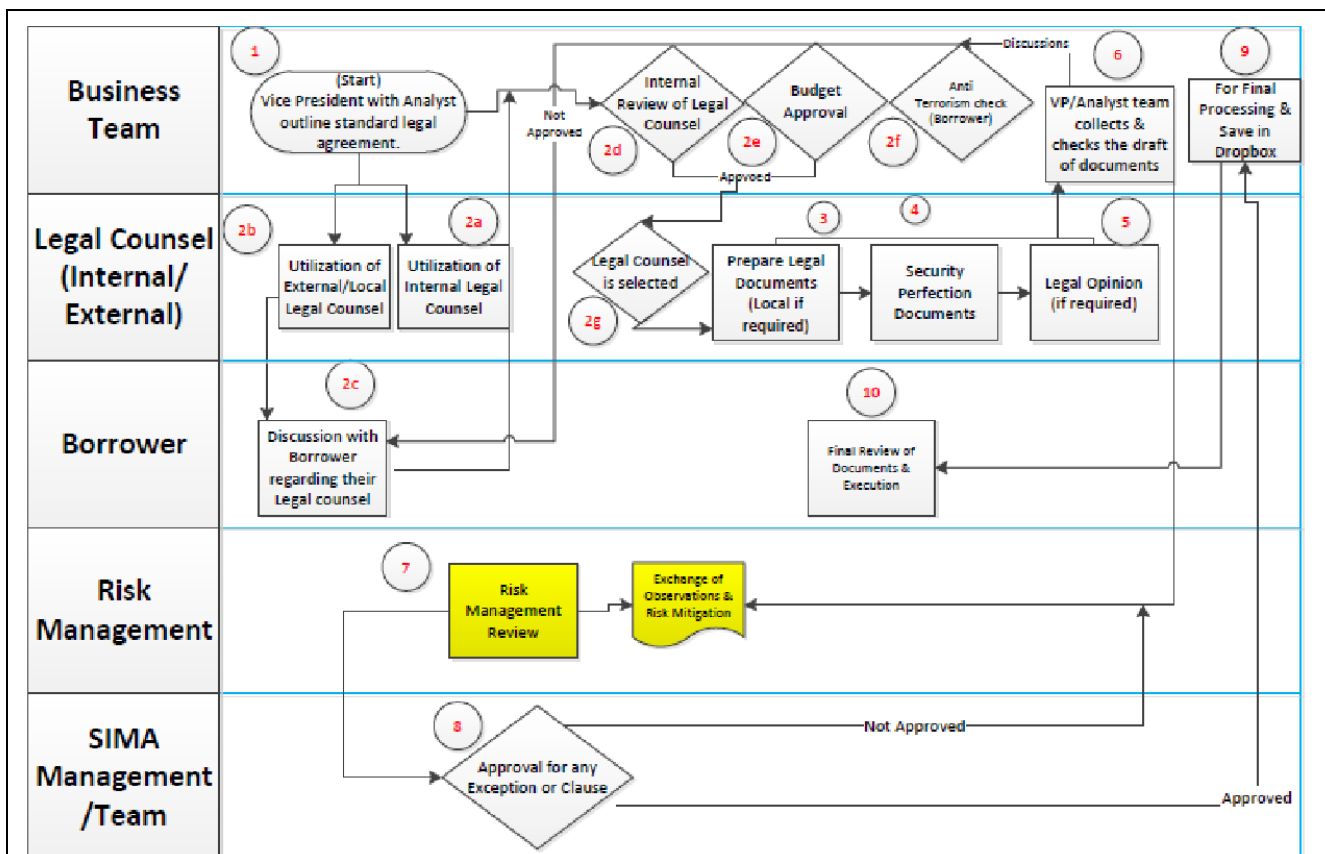


Process flow diagram #2 – Underwriting Process

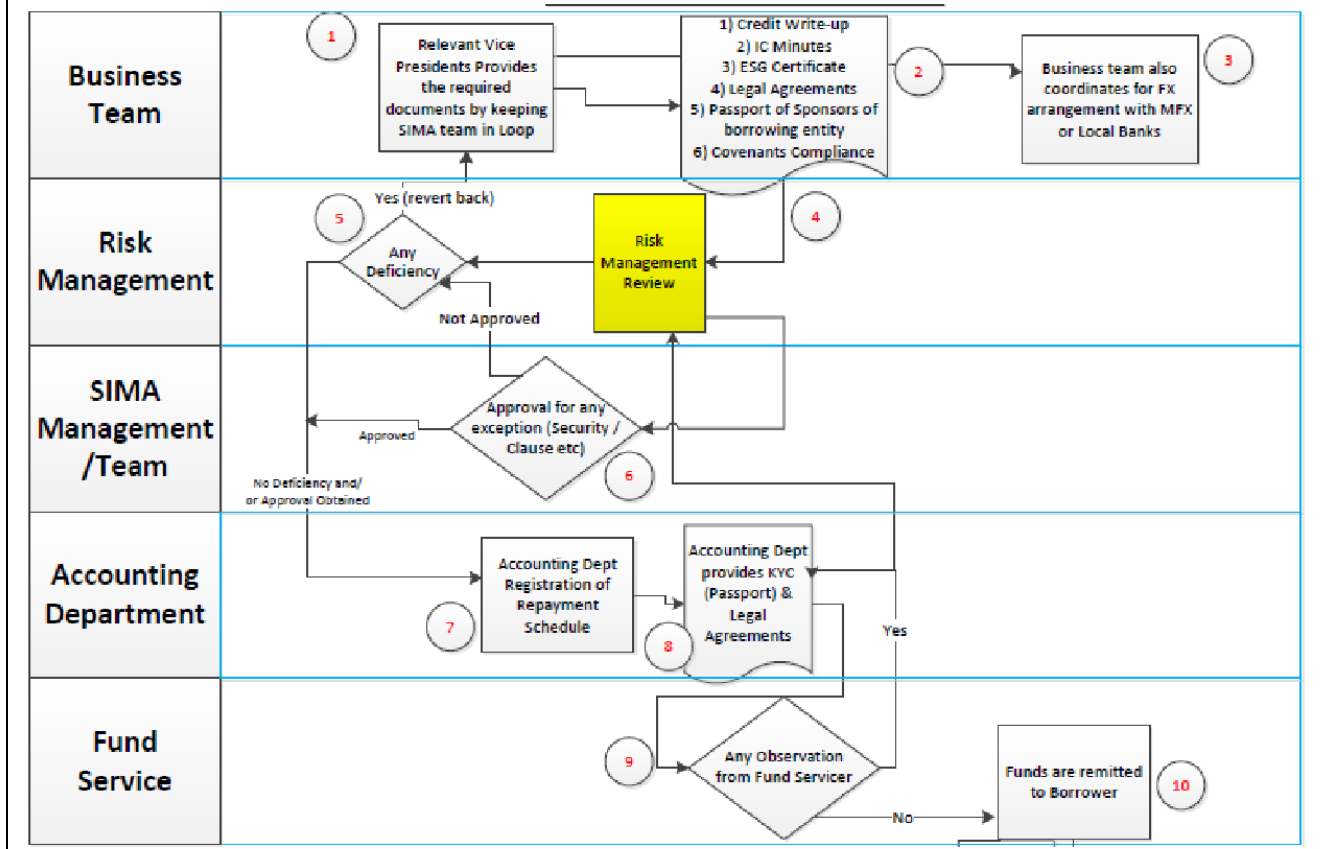


See Section G.3 for further detail on underwriting.

Process flow diagram #3 – Legal Closing

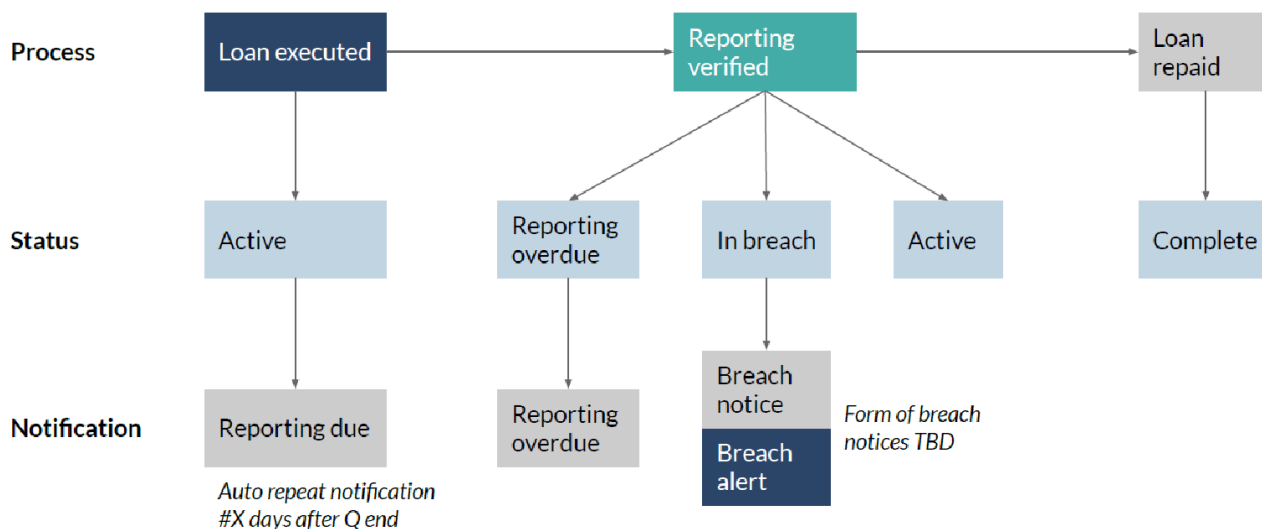


Process flow diagram #4 – Loan Disbursement



In the case that the EARF closes on loans before the GCF/Climate CV funding comes in, any loan intended for Climate CV participation must comply with the eligibility and other requirements of the Master Participation Agreement.

Process flow diagram #5 - Monitoring & Reporting



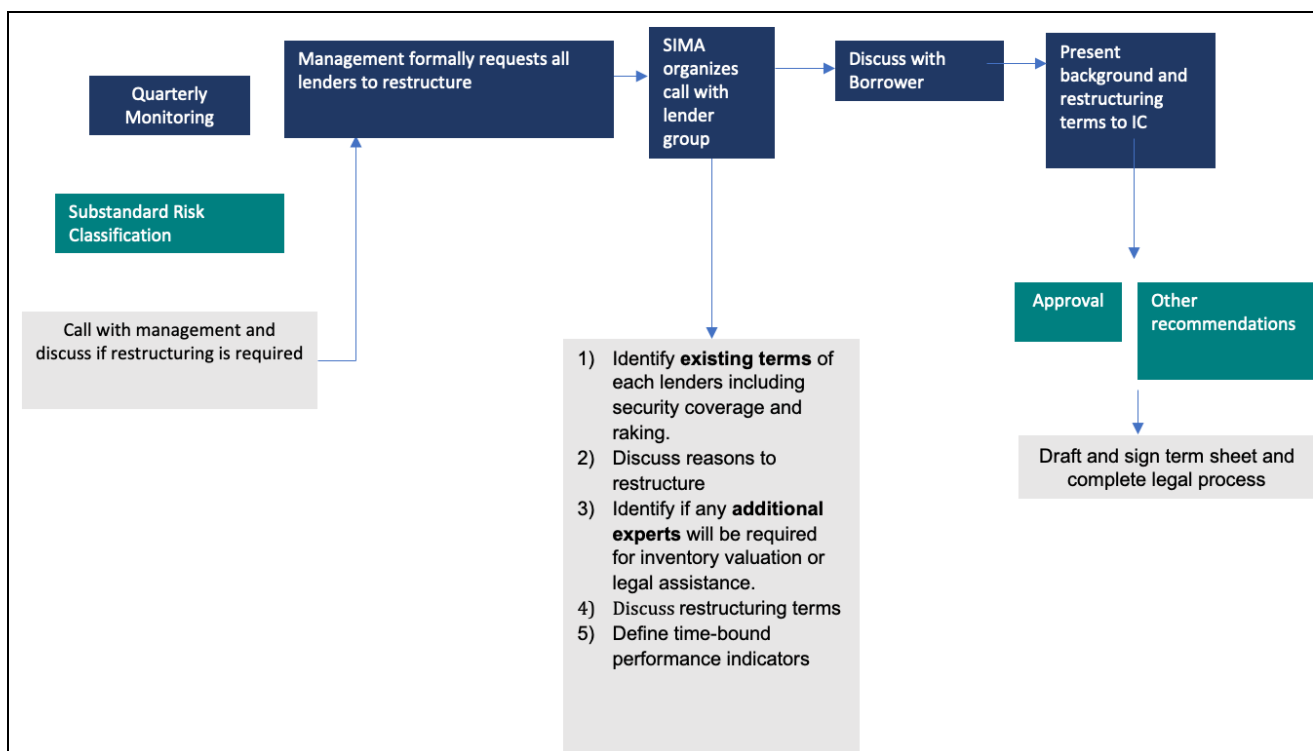
Post Disbursement Monitoring (further detail)

The collections for the EARF will be made through the following procedure:

- For all the borrowers, at the time of initiation of the loan, repayment schedules will define the dates and amounts of payment that must be repaid by the borrowers.
- On the due date, the EARF Manager will check the payments received from borrowers. Reminder email is sent to the borrowers from whom the payment has not been received.
- The collections are continuously monitored until all payments have been received.
- Post Disbursement Monitoring of Covenants, Repayments and Financial covenants by Business, Risk Manager and SIMA management.
- Provisioning / Impairment approval by Investment Committee.

Restructuring of Loan (if needed)

Each loan will be reviewed on a regular basis and if a loan is not performing as per the standards of underwriting criteria and there are signs of weak loans.



In addition, SIMA has submitted its Environmental and Social Management System (ESMS) for the EARF as Annex 6 for review.

Experience and Track Record

- AE (Acumen)

Acumen is a pioneer non-profit impact investment fund with almost 15 years' experience in small and medium-sized enterprises that serve low-income communities in developing countries across South Asia, Sub-Saharan Africa, and Latin America. Acumen invests "Patient Capital" in early-stage companies across critical sectors such as agriculture, education, energy, financial inclusion, and affordable healthcare. Acumen has significant experience of creating innovative investment funds in partnership with the GCF i.e. Kawisafi Ventures which is an investment fund focused on creating energy access in East Africa and ARAF which is the climate resilience focused agriculture investment fund in East and West Africa.

Executing Entities

SIMA

SIMA principals are some of the longest serving fund managers who were first in attracting private sector institutional investors to microfinance sector. Our team has a combined more than 100 years of finance, leasing and related experience. SIMA's involvement in off-grid solar sector dates back to 2011 when the sector was much younger. Ever since then, SIMA's managers have participated in this sector in various capacities including managing a solar distribution business in Uganda.

SIMA has also developed expertise in restructuring and workouts. In its current portfolio, it has successfully restructured loans of two off-grid solar distributors which have emerged back on track.

Energy Access Relief Fund B.V. (EARF):

The Loan Facility, EARF, will be set up as a Dutch private limited liability company (besloten vennootschap met beperkte aansprakelijkheid) incorporated under the laws of the Netherlands. The EARF is a concessional debt

fund that is intended to provide energy access companies with vital liquidity during this crisis, in the form of low-interest, unsecured subordinated loans.

Climate CV

The Intermediary that will participate in the EARF loans, Climate CV, will be set up as a Dutch limited partnership (commanditaire vennootschap) incorporated under the laws of the Netherlands. SIMA will be the General Partner and GCF will be a Limited Partner. The Climate CV will be set up solely for the purposes of investing in participations of the EARF loans to companies that operate in countries that have submitted letters of no objection. The EARF will be the lender of record for the loans.

B.5. Justification for GCF funding request (max. 1000 words, approximately 2 pages)

Explain why the project/programme requires GCF funding, i.e. Why is the project/programme not currently being financed by public and/or private sector? Which market failure is being addressed with GCF funding? Are there any other domestic or international sources of financing?

Explain why the proposed financial instruments were selected in light of the proposed activities and the overall financing package. i.e. What is the coherence between activities financed by grants and those financed by reimbursable funds? How were co-financing amounts and prices determined? How does the concessionality of the GCF financing compare to that of the co-financing? If applicable, provide a short market read on the prevailing of the pricing and/or financial markets for similar projects/programmes.

Justify why the level of concessionality of the GCF financial instrument(s) is the minimum required to make the investment viable. Additionally, how does the financial structure and the proposed pricing fit with the concept of minimum concessionality? Who benefits from concessionality?

In your answer, please consider the risk sharing structure between the public and private sectors, the barriers to investment and the indebtedness of the recipient. Please reference relevant annexes, such as the feasibility study, economic analysis or financial analysis when appropriate.

Why the EARF needs GCF

GCF's involvement in the project is critical. This crisis has struck at a delicate time for the energy access sector, and threatens to undermine progress that GCF and others have worked so hard to build.

Leading companies in this sector have recently begun to attract debt financing on fully commercial or close-to-commercial terms. However, the pandemic has caused local banks to halt any new lending, while significantly reducing the levels of international financing available. Debt investors have been forthright: the crisis has caused a reduction in lendable capital, a slowdown in their ability to process loans, and a reduction in their risk appetite (see Annex). Few new loans are being issued to energy access companies, and those that are being issued are anecdotally priced at or above 12% interest.

At the same time the pandemic and resultant lockdowns have severely impacted low-income households' ability to acquire energy assets or service existing solar and cookstove loans. In Uganda, for example, a June 2020 survey of households that had purchased a PAYGo SHS on credit showed that 95% of households' financial situation had worsened since the start of the pandemic, with 59% saying it had gotten 'much worse'. This has a direct impact on repayment levels: just 29% of respondents were making repayments for their products as they normally would, and only 21% were confident in their ability to make repayments as normal next month.

Without support from the EARF, generally and GCF specifically, a simultaneous reduction in customer repayments and financing flows could be devastating for energy access companies, the majority of whom are not yet financially self-sufficient. Many promising companies may not be able to survive a liquidity crisis. Those that do emerge would face an uncertain, uphill road to recovery, unable to reach pre-crisis sales volumes for a year or more. Even with a rebound in consumer demand, companies may not be able to retain their sales staff or purchase sufficient

inventory, due to a lack of working capital. And investors' risk appetite could be severely curtailed by the collapse of multiple companies.

With the private sector currently unable or unwilling to finance the sector, and a vulnerable customer base struggling to maintain repayment, GCF's support of the EARF is vital to mitigate the effects of the ongoing crisis, but just as important to catalyze the coming recovery. This combination of 'relief now' and 'recovery later' will help companies to not only withstand the crisis, but to regain their momentum quickly upon its cessation.

Why concessional debt?

The EARF will deploy concessional loans. These low-interest, longer-tenor loans, combined with significant subordination in the fund structure, would ensure that:

- A. Companies will not be overburdened by debt service requirements during their recovery;
- B. Investors are able to preserve their capital while achieving significant impact, which means;
- C. The EARF can raise the needed quantum of funding

At this time, sector debt for these target companies needs to be concessional as there is a need to avoid burdening companies that on average may already be overleveraged. It is an issue of pricing and timing. Providing commercial funding in this scenario would require a full commercial analysis and due diligence that might not be provided on the needed timeline and may force firms to take drastic cost cutting measures fast. That said, the full sum of money need not be grants. Such capital would be in very short supply and it would leave no incentives for companies to not take the maximum amount they could get regardless of need. Thus, the proposed terms strike a good balance between additional burden on companies and cost to capital providers. Unsecured junior debt seems best suited to provide additional capital fast with an impact first focus - job security - without putting undue financial stress on the beneficiary which is important in light of high leverage in the sector.

GCF's potential participation in EARF loans through Climate CV will be appropriate to its mission and catalytic for the closing of the fund. Its participation will dramatically increase the funding available to companies in need. GCF's potential investment is expected to provide encouragement to other potential debt lenders for loans made in geographies supported by this proposal. The NOL process demonstrates local buy-in for the investment strategy of EARF.

In a pre-COVID world, there would be legitimate questions raised over the possibility of concessional debt crowding out commercial debt investors. However, given the nature of the crisis and the demonstrated pullback from those same investors, the EARF is one of the vanishingly few sources of potential funding for energy access companies. And the commercially priced debt on offer remains greater than the energy access relief fund at +6-20%, and in some cases even higher, which is not appropriate for relief and recovery funding.

What GCF brings to the EARF

As a well-known, multilateral, climate-focused investor in the facility, GCF would bring immediate focus to the important climate progress, and future progress, that is at stake in this sector. In addition to the direct contribution to the fund, we expect that GCF's investment will yield the following benefits:

- Mobilize inter-governmental support for the implementation of the facility's activities and raise awareness on the importance of the off-grid and energy access sector regarding avoidance of GHG emissions. There is a critical linkage between climate change and energy poverty that can be strengthened through this landmark investment.
- The programme will assure other Project stakeholders when it comes to taking risks in this programme, thus encouraging the participation of other IFIs. This means GCF's capital will be highly catalytic and have a strong signaling effect to capital markets.
- GCF, as one of, if not the only, climate investor in this project, will be providing climate eligibility criteria in the investment, which is a valuable input for this energy relief facility. GCF has already provided valuable input regarding the specific climate requirement that they will use when they screen the requests from SMEs. GCF's influence and support is highly welcomed, as many other DFIs and Foundations seek to invest on the premise of supporting 100% renewably powered energy sources.

B.6. Exit strategy and sustainability (max. 500 words, approximately 1 page)

Explain how the project/programme sustainability (financial, institutional, social, gender equality, environmental) will be ensured in the long run after project closure, including how the project's results and benefits will be sustained.

Include information pertaining to the longer-term ownership, project/programme exit strategy, operations and maintenance of investments (e.g. key infrastructure, assets, contractual arrangements). In case of private sector, please describe the GCF's financial exit strategy through IPOs, trade sales, etc.

Provide information on additional actions to be undertaken by public and private sector or civil society as a consequence of the project/programme implementation for scaling up and continuing best practices.

Sustainability

The Programme's sustainability is embedded in its design:

- (a) **At the corporate level**, the Programme is intended to protect progress made towards achieving Sustainable Development Goal 7 of Affordable and Clean Energy by providing liquidity to Energy Access Companies whose operations have been affected by the COVID-19 pandemic.
- (b) **At the sectoral level**, the Programme is intended to safeguard the progress of the entire off-grid solar and microgrid sector, which is seen as the most effective way to provide energy access to 117 million of HH by 2030.²¹ It will also safeguard the potential of the sector to support sustainable energy for agriculture and national infrastructure such as health clinics and schools.

Within the region, As well as the work of off-grid companies themselves, several organisations, including GOGLA – the association for the off-grid solar sector, AMDA – the African Minigrid Developer Association- and National Renewable Energy Associations in East Africa, West Africa and South Asia have contributed to the growth of the off-grid sector and have been engaged with the efforts of those leading the EARF. They have built vital networks and links with national and regional decision-makers, as well as international actors. These associations and their networks provide a mechanism for sharing learnings and best practices on how off-grid solar products and services can be used to drive post-C-19 recovery and sustainable development.

Replicability

If the current pandemic continues, this kind of facility likely interests private and public investors. This programme is the first initiative of its kind, and its success is crucial to such other initiatives to follow.

The world faces a growing number of crisis emerging beyond this health crisis: climate change, drought, insect invasions (i.e. locusts), natural disasters, terrorism, refugees, and myriad more. EARF is the first-ever relief and recovery fund dedicated towards responding to a global crisis quickly and effectively, while also directly supporting a Sustainable Development Goal. If successful, this fund structure could be replicated across sectors and is highly applicable to provide returnable capital aimed at supporting sustaining an entire sector in times of crisis.

Acumen, along with other stakeholders, are emphasizing the transparency of EARF, its limitations, and what it realistically can achieve with its funding. It is the intention for the fund structuring process to be open sourced, meaning investors are able to replicate the relief structuring (eligibility criteria, fund management, requirements, monitoring, tenor, terms) to provide effective relief funding for other sectors in times of crisis.

Knowledge Sharing

²¹ IEA. "World Energy Outlook 2019". 2019. <https://www.iea.org/reports/world-energy-outlook-2019>

The EARF intends to share lessons learned throughout the crisis and the relief process, from both the EARF partners and funded companies, which will be disseminated to the benefit of the wider energy access sector. In doing so, companies across the energy access sector can save time and money by not repeating common missteps and learn from successes to drive innovation and growth.

Gender Equality

The EARF is also committed to furthering gender equality in the energy access space. The EARF will bring to the surface the importance of gender equality by:

- Prioritizing eligible (flagged for IC) women owned/led (51% or more ownership/leadership) companies for funding
- Requiring a company's demonstrated commitment and approach to retaining female full-time and contracted employees during the immediate crisis, and increasing the number in the long term, in RFP guidelines and scoring (weighted in the eligibility/investment criteria at IC)
- Requiring selected companies to retain current percentage of female full-time and contracted employees during loan period
- Providing companies with a template for a flexible work policy that will support the retention of employees who may have additional care responsibilities during the pandemic

These activities are described in more detail in the Gender Action Plan in Annex 8.

C. FINANCING INFORMATION

C.1. Total financing

(a) Requested GCF funding (i + ii + iii + iv + v + vi + vii)		Total amount		Currency		
		30		million USD (\$)		
GCF financial instrument		Amount	Tenor	Grace period	Pricing	
(i)	Senior loans					
(ii)	Subordinated loans					
(iii)	Equity	30,000,000	4-6 years		Nominal hurdle rate	
(iv)	Guarantees	Enter amount	Enter years			
(v)	Reimbursable grants	Enter amount				
(vi)	Grants	Enter amount				
(vii)	Results-based payments	Enter amount				
(b) Co-financing information		Total amount		Currency		
		0-30		million USD (\$)		
Name of institution	Financial instrument	Amount	Currency	Tenor & grace	Pricing	Seniority
Senior Investors	Notes	<u>Up to 30.00</u>	million USD (\$)	Multiple years	Nominal interest target	
	Amount		Currency			

(c) Total financing (c) = (a)+(b)	30 – 60	million USD (\$)
(d) Other financing arrangements and contributions (max. 250 words, approximately 0.5 page)	Please explain if any of the financing parties including the AE would benefit from any type of guarantee (e.g. sovereign guarantee, MIGA guarantee). Please also explain other contributions such as in-kind contributions including tax exemptions and contributions of assets. Please also include parallel financing associated with this project or programme.	

C.2. Financing by component

Please provide an estimate of the total cost per component and output as outlined in section B.3. above and disaggregate by source of financing. More than one co-financing institution can fund a single component or output. Provide the summarised cost estimates in the table below and the detailed budget plan as annex 4.

Component	Output	Indicative cost Options	GCF financing		Co-financing		
			Amount Options	Financial Instrument	Amount Options	Financial Instrument	Name of Institutions
1.1 Loans to energy access companies	Companies funded in the energy access sector		Total GCF financing minus certain costs and reserves	Equity in Climate CV, disbursed as participations in subordinated loans to borrowers	Up to \$30,000,000	Junior loans to borrowers	Click here to enter text.
1.2 Established Climate CV	SPV participation agreement legal costs, set up and termination costs, and applicable contingency costs related to SPV	SPV Setup and Termination Legally structure SPV documents Contingency	Certain costs	Equity in Climate CV			Click here to enter text.
2.1 Knowledge Exchange ²²	10 knowledge products	\$0					

²² Component 2 may be integrated into Component 1.

Indicative total cost (USD)	Enter amount	\$30,000,000	\$0 to \$30,000,000
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This table should match the one presented in the term sheet and be consistent with information presented in other annexes including the detailed budget plan and implementation timetable.

See above

In case of a multi-country/region programme, specify indicative requested GCF funding amount for each country in annex 17, if available.

C.3 Capacity building and technology development/transfer (max. 250 words, approximately 0.5 page)

C.3.1 Does GCF funding finance capacity building activities?	Yes ☐ No ☒
C.3.2. Does GCF funding finance technology development/transfer?	Yes ☐ No ☒

If the project/programme is expected to support capacity building and technology development/transfer, please provide a brief description of these activities and quantify the total requested GCF funding amount for these activities, to the extent possible.

D. EXPECTED PERFORMANCE AGAINST INVESTMENT CRITERIA

This section refers to the performance of the project/programme against the investment criteria as set out in the GCF's [Initial Investment Framework](#).

D.1. Impact potential (max. 500 words, approximately 1 page)

Describe the potential of the project/programme to contribute to the achievement of the Fund's objectives and result areas. As applicable, describe the envisaged project/programme impact for mitigation and/or adaptation. Provide the impact for mitigation by elaborating on how the project/programme contributes to low-emission sustainable development pathways. Provide the impact for adaptation by elaborating on how the project/programme contributes to increased climate-resilient sustainable development. Calculations should be provided as an annex. This should be consistent with section E.2 reporting GCF's core indicators.

The COVID-19 pandemic has highlighted the deep inequalities around the world in terms of access to modern, affordable and sustainable energy. Electricity has been a vital underpinning of the response to the public health emergency in many countries – but hundreds of millions of people worldwide still lack basic access to it, with the majority of them in Sub-Saharan Africa. Even before today's unprecedented crisis, the world was not on track to meet key sustainable energy goals. Now, they are likely to become even harder to achieve. This means we must redouble our efforts to bring affordable, reliable and cleaner energy to all.

Access to reliable energy is a lifeline, especially in the context of the COVID-19 crisis. It is essential not only for preventing and addressing the pandemic but also for accelerating the recovery and building back better by securing a more sustainable and resilient future for all. It is necessary to act now, especially in Sub-Saharan Africa, where under the status quo, 530 million people—more than two times the population of Nigeria—will still be without electricity in 2030.

The EARF is meant to help actuate the paradigm shift described in GCF's governing documents, putting developing countries on a pathway towards low-emission and climate-resilient economic development. GCF's contribution will help to catalyze public investment into this facility, which serves to make an impact on three levels: customers, companies, and public health systems.

For *customers*, there is a real risk that with dropping diesel costs and limited customer access to solar-powered, clean energy products, customers will revert to traditional toxic diesel and kerosene usage - setting the climate progress made by off-grid solar back by years. The EARF intends to establish a baseline number of beneficiaries (applicants must submit total # of customers served) at the start of the fund. After disbursing the emergency loans, SIMA will then track changes over time in the number of customers served, which can then be used to calculate the change in the # of tons of CO₂e and avoidance of diesel and kerosene (especially from continued operations and reliance on solar microgrids) since the beginning of the crisis. It is anticipated that if a steady sector growth state is maintained through EARF efforts powered by GCF, 1.33 million metric tons of CO₂e can be avoided through this programme (see Annex 22 for detailed calculations). The ultimate goal is to preserve the emissions reductions the sector has already gained and position the companies to then further grow and expand emissions reductions to new customers beyond the crisis. The below chart includes estimates at scale.

Table 2: Impact Calculations

OGS CO ₂ e avoided*	
Estimated OGS Sales Safeguarded	3,177,428
Weighted Discount for Loss*	0.923760
Kerosene Lamp Replacement Rate**	1.00
Average product lifetime (2 year warranty x 1.5)***	3.00
Metric tons CO ₂ e p/a avoided per lantern replaced	0.150
Emissions (t CO₂e) Avoided in lifetime of OGS products	1,320,831
Number of microgrid connections safeguarded	35,772
Average consumption (MWh per annum)	0.0732
Emissions factor per household p/a for baseline scenario (tCO ₂ e/MWh)	0.8
Connection lifetime (years)	5
Emissions (t CO₂e) mitigation in lifetime of MG connection	9,427
Total emissions (t CO₂e) mitigation in lifetime of EARF	1,330,258
Households that will benefit	
Estimated OGS Sales Safeguarded	3,177,428
Weighted Discount for Loss*	0.92376
Net Households Impacted by OGS	2,935,181
Net Household Microgrid Connections Safeguarded	35,772
Total households impacted by EARF	2,970,953
Household size	5.5
Total beneficiaries	16,340,243
* Discount for loss/defaults merged into one overall loss rate that is a conservative discount for products which may not reach their end of life and therefore will not have intended impact	
** Kerosene lamp replacement rate. We have used a 1:1 ratio e.g. 1 solar product replaces the use of 1 kerosene lantern. We estimate that solar lanterns in East Africa replace kerosene lanterns at a 1:1 rate, whereas SHS replace slightly more	
*** 2 year approximate warranty used across full OGS product range to provide an estimate of the lifetime that the products will be in use and having intended impact. For lifetime, we use a conservative 1.5x warranty	

For companies, the ability to remain solvent, maintain service, and retain staffing levels during a time of falling revenues and tightened credit markets is critical. The EARF is working to ensure companies have liquidity to continue operations, preserve their human capital, keep supply lines open, and survive past the pandemic. As companies access relief funding, it is recognized that additional working capital will be required if lower revenues are sustained in the medium term (1 year) due to lockdown measures. Companies can ideally leverage commercially available capital once sales start to increase in core markets. It is important to note that the companies in question are not just high-profile, vertically integrated companies, but an entire ecosystem of manufacturers, distributors, software providers, and service companies. A significant reduction in repayment and sales could cause newer and more specialized companies to fold, setting back progress on climate mitigation even farther.

For *public health systems*, off-grid renewable energy not only powers off-grid clinics and hospitals, allowing people to access the healthcare they need now, but can also be an investment into the clean, sustainable energy infrastructure of the future for these countries. However, without this, the global community's efforts to contain COVID-19 may be hampered as the deadly explosion of cases continues across many parts of the world with little or no access to energy. As a result, lack of access to energy has the potential to reduce the efficacy of public health systems in vulnerable areas, magnify the human catastrophe, and significantly slow the economic recovery in those areas.

D.2. Paradigm shift potential (max. 500 words, approximately 1 page)

Describe the degree to which the proposed activity can catalyze impact beyond a one-off project or programme investment. Describe the following, if applicable:

- *Potential for scaling up and replication*
- *Potential for knowledge sharing and learning*
- *Contribution to the creation of an enabling environment*
- *Contribution to the regulatory framework and policies*
- *Overall contribution to climate-resilient development pathways consistent with relevant national climate change adaptation strategies and plans*

With climate change on the rise, this global pandemic is surely not the last disaster the world will face together. As natural disasters increase, drought becomes more prevalent, and global health systems expose their fragility, the need for more well-designed, thoughtful relief and recovery funds will be important. Through the EARF, insights about how to structure such funds quickly, easily, and intelligently for other sectors serving low-income customers can be gained for scale up and replication.

Paradigm shift potential: While the COVID-19 crisis is straining the global economy and challenging governments, businesses and individuals, it also provides a strong opportunity to rebuild in a more sustainable and equitable way, creating room for creativity and innovation. The off-grid solar sector is poised to respond, bringing with it innovative business models, strong leaders / partnerships and a dedicated workforce that spans the globe. Organizations in the sector have also formed valuable partnerships, for example with governments, community leaders and with other pioneering sectors, including those providing communications and ICT infrastructure. This is a unique opportunity, and an unprecedented group of entrepreneurs are ready to meet it, having spent the last decade developing the experience, teams, and structures to scale in a moment such as this. One thing holding them back is liquidity.

Investing into the SMEs during the crisis of COVID19, poises them to drive post crisis recovery. The products and services that they create can provide fast, affordable and clean access to electricity. This is vital for powering homes, businesses and infrastructure such as rural health clinics. The off-grid sector has also pioneered several new innovations and technologies in recent years, including pay-as-you-go payments to unlock solar home units, real-time energy monitoring and sensor-led technologies to support smallholder irrigation.

The post COVID-19 world will not look like the one before. The CEO of British Petroleum has already speculated that the pre-crisis period could represent the high-water mark for fossil fuel consumption. The right companies, with the right leaders, can use this recovery to transform the way that modern energy is delivered to the people who need it most. But those companies need resources.

Potential for knowledge and learning: With the retained staff, the invested SMEs will be able to explore business models that are new and innovative as part of their expansion. As a result, innovative technologies, such as solar water pumps, solar refrigeration solutions, and solar drying techniques, could be developed under the modern indigenous context. Further, as companies seek to expand their reach in their geographies, companies will have the

resources available to continue expanding and understanding customers' needs in more hard-to-reach markets. This would be a potential knowledge and learning contribution to the countries. Lastly, it is envisioned that countries accessing the funds will be able to better understand how relief and recovery funding is aiding the long-term sustainability of these companies' operations. Since many countries have never rolled out relief facilities during or following a crisis, this fund can help inform national governments how to best structure available capital to support domestic enterprises in relief and recovery in the future from other crises that arise.

Acumen is committed to sharing lessons from the origination, structuring, investment process, deployment, and monitoring of loans as well as customer outcomes with the sector and beyond through reports, articles, and blogs – leveraging Acumen's various platforms that reach over 500,000 people annually.

Contribution to the creation of an enabling environment: The pandemic threatens decades of groundwork that has been laid for energy access markets to thrive. The enabling environments that have been created, including VAT and duty exemptions, local workforce development, and manufacturing incentives, are at risk if the sector dries up. Therefore, the EARF intends to further promote private sector delivery of energy access by further justifying and fortifying the enabling environment activities that have been built over the last decades.

Contribution to regulatory framework and policies: The facility will contribute to the regulatory framework and policies as several national governments, including Lagos State in Nigeria²³ and Senegal²⁴, include off-grid solar in their energy access planning and view it as an essential service. The off-grid sector works to support the ambitions of national energy ministries in electrifying populations that are currently being left behind, in driving sustainable development and in contribution to national emissions reduction targets. The programme introduces investment into approximately 60 SMEs at scale that will struggle in the pandemic. The Fund can help inform national policy makers on how to best structure other off-grid solar incentives to work in tandem with the Relief Fund. It is also envisioned that lessons from the Relief Fund can help inform future policies and programmes aimed at providing relief to SMEs in future global health and environmental crises.

Overall contribution to climate-resilient development pathways consistent with relevant national climate change adaptation strategies and plans: Countries cannot afford to lose the progress made on universal access to modern energy. Countries that have created supportive policies for energy access companies to thrive risk losing the climate-resiliency they have developed through supporting off-grid energy companies if these companies fold. Most governments recognize that a collaborative public-private partnership is needed to deliver nation-wide electrification and energy access. Private sector companies often fill the gaps where the unit economics for rural, remote customers do not make sense for grid extension. Therefore, the EARF aims to ensure key private sector companies are able to continue delivering service to customers in line with national climate change adaptation strategies and plans.

D.3. Sustainable development (max. 500 words, approximately 1 page)

Describe the wider benefits and priorities of the project/programme in relation to the Sustainable Development Goals and provide an estimation of the impact potential in terms of:

- Environmental co-benefits
- Social co-benefits including health impacts
- Economic co-benefits

²³ Lagos State; Essential Service Notification:

https://www.gogla.org/sites/default/files/resource_docs/exemption_for_power_energy_solution_providers_-_30032020.pdf

²⁴ Senegal; Essential Service Notification: https://www.gogla.org/sites/default/files/resource_docs/200401-d0639.pdf

- *Gender-sensitive development impact*

Sustainable development potential: The Programme is aligned with SDG 7 Affordable and clean energy for all, Sustainable Agriculture (linked to SDG2), SDG3 Good Health, SDG4 Quality Education, SDG 8 Employment and Economic Growth, SDG 13 Climate Action, and SDG 17 Global Partnership for Sustainable Development. Access to affordable, reliable, and sustainable energy is crucial to achieving many of the Sustainable Development Goals from poverty eradication via advancements in health, education, water supply and industrialization to mitigating climate change. Modern society depends on reliable and affordable energy services to function smoothly and to develop equitably. A well-established energy system supports all sectors from medicine and education to agriculture, infrastructure, communications, and high technology. Intensive development patterns have historically relied on inexpensive and energy-dense fossil fuels, which also happen to be the primary source of greenhouse gas emissions contributing to climate change.

Resiliency building: Solar home systems can act as a catalyst for more climate-resilient and sustainable economies, getting us ever closer to the UN's Sustainable Development Goals. Specifically, solar provides clean, vital energy to some of the world's poorest communities; to the very communities who will be worst affected by climate change. This is already happening in many parts of the world, where solar is powering health-centers; pumping clean water; lighting schools; supporting agriculture and boosting local economies. Solar allows people the means of generating a sustainable, climate-resistant income; farmers can grow crops out of season or during droughts with solar irrigation. Quite literally, solar is powering opportunity.

However, if productive use companies which are just starting to gain traction fold and cannot sustain staff, we will see not only short-term ramifications in access to appliances but also long-term resiliency losses as customers revert to old techniques that further contribute to soil and water degradation.

Health benefits: Without new forms of energy access increasing in the market, customers will fall back on old habits of using dirty, pollutive, and damaging kerosene. The survey results come as new research suggests that people exposed to air pollution are more likely to die from COVID-19 than people living in areas with cleaner air. These findings reinforce the importance of access to clean cooking as an alternative to open cooking fires and traditional stoves, which are significant sources of household air pollution. Access to off-grid solar can bring significant improvements to health and safety. Kerosene lamps emit smoke that contains large amounts of health-damaging fine particulate matter (PM2.5). Typical PM2.5 levels in households using kerosene lamps have been found to be five times higher than the level deemed safe by the World Health Organization. Yet after replacing kerosene with solar lights, one study found that PM2.5 concentrations in rooms fell by as much as 80%, leading to a 70% reduction in the average exposure of school children. Unsurprisingly, 89% of households, report health improvements after buying a solar home system, many of which previously relied on kerosene. However, this will not be possible if customers cannot gain access from agents who previously sold them a household product. 91% of households feel safer, too, after purchasing a product. For some customers, safer means a reduction in injuries from kerosene burns or falling, for others, it means warding off thieves, attackers or wild animals at night. However, customers will not have access to these products that provide safety and will leave customers feeling more endangered as well as run the risk of increasing reliance on kerosene.

Gender-sensitive development impact: Lack of clean energy access has particularly negative impacts for women who are often those working in a household with polluting kerosene, whose time is lost purchasing or collecting traditional fuel sources, or who are responsible for hand-irrigation of crops. Moreover, this program will include a gender inclusive angle to support well-performing female sales agents during a period of low sales, recognizing that it's the most vulnerable people (women and children) who will be most adversely affected by this. During the monitoring phase, we are exploring how we can request that the gender balance of staff is maintained or improved in favor of women. Currently, it is projected that the job creation potential by 2022 is 1.3 million jobs, of which women will make up 350,000. Approximately 27% of total FTE jobs in the offgrid solar sector are filled by women, and this percentage is expected to rise as the market evolves.²⁵ This will be built into

²⁵ GOGLA, A Growth Engine for Jobs. June 2019.

https://www.gogla.org/sites/default/files/resource_docs/gogla_off_grid_solar_a_growth_engine_for_jobs_web_opt.pdf

the loan covenants. All reported metrics on jobs (maintained or created) will be disaggregated by gender. Further, the fund plans to adopt policies relating to gender lens investing, and will it disaggregate KPIs by gender. The covenant in loans state that the percentages of female in-country staff/total staff may not decline by more than 10% points relative to baseline (end of calendar quarter preceding application date).

Employment Impact: Before COVID, off-grid was serving 420 million off-grid customers with the potential to serve 823 million by 2030. With 370,000 jobs generated from the sector, energy access serves as a large employer in low and middle-income countries with Building resilient distributed power infrastructures in developing world. This human capital infrastructure will be required to deliver future energy access services. If the sector does not act to secure jobs, by 2022, the off-grid solar sector could lose up to 1.3 million FTE jobs by 2022 across South Asia and East Africa alone.²⁶ Of these jobs, the majority lost will be in rural areas, which would have supported job creation and diversification among often economically disadvantaged and vulnerable communities. There is also a strong representation of women among workers in the off-grid solar sector, which is expected to now decline. Wages in the industry are in line with, or higher than, average national wages and many companies are also supporting the expansion of skills and capacity of their staff through training and development programs. However, we run the risk of losing these. The off-grid solar sector will no longer be able to generate a wealth of new employment opportunities across the value chain, ranging from entry-level to highly skilled positions. Before Covid-19, there was hope that larger off grid solar systems would invest in a wider range of complex consumer goods, further expanding job opportunities.

Economic co-benefits: Off-grid solar is creating opportunity across the globe, creating new jobs and growing income. Recent research in East Africa found that 34% of households report an increase in economic activity because of their solar home systems. 28% of households using solar home systems report an increase in income, on average \$46 per month – equivalent to 14% of the national monthly income per household (based on gross national income). In more than one-third of households, customers use their systems for business or income generation; 81% see this resulting in increased revenues. If we do not continue to advance this, we will see customers slip back into poverty and lose income.

Education and small enterprises: Improved access to light and power unlocks previously unproductive hours. Data shows that solar home systems enable 21% of users to spend more time working and earning. In another 21% of households, customers reported using their solar home system to start a new enterprise, the most common being a phone charging business. It is all-but-guaranteed to see small companies fold tied to lack of access to basic products that enabled new enterprises to get off the ground. Beyond enterprise, the additional hours of light created by solar products lead to more time for children to study. 86% of households with children report that the younger generation now has more time to do their homework. The current generation of students not only run the risk of missing critical school time but will now not have access to light to read in the evenings and advance home learning and education.

Environmental co-benefits: Environmental co-benefits will be determined for each of the projects funded under the Program but will tentatively include reduction of air and water pollution, and improved resource-use. It is known that 74 million metric tonnes of CO₂e emissions have been avoided due to the technology of off-grid solar, which equates to taking 19 coal-fired power plants offline for a year.²⁷ The companies expected to be supported by the EARF are actively serving to replace kerosene, diesel, and other carbon-based fuels for customers. By enabling these companies to continue serving customers, the adoption of renewable energy in these communities could be retained, rather than reverting to fossil-based fuels.

²⁶ GOGLA, 2019. “Energizing Job Creation”

https://www.gogla.org/sites/default/files/resource_docs/gogla_pb_energizing-job-creation_def.pdfhttps://www.gogla.org/sites/default/files/resource_docs/gogla_pb_energizing-job-creation_def.pdf

²⁷ GOGLA (2020). “Global Off-Grid Solar Market Report Semi-Annual Sales and Impact Data”. July-December, 2019.

https://www.gogla.org/sites/default/files/resource_docs/global_off_grid_solar_market_report_h22019.pdf

D.4. Needs of recipient (max. 500 words, approximately 1 page)

Describe the scale and intensity of vulnerability of the country and beneficiary groups and elaborate how the project/programme addresses the issue (e.g. the level of exposure to climate risks for beneficiary country and groups, overall income level, etc.). Describe how the project/programme addresses the following needs:

- *Vulnerability of the country and/or specific vulnerable groups, including gender aspects (for adaptation only)*
- *Economic and social development level of the country and the affected population*
- *Absence of alternative sources of financing (e.g. fiscal or balance of payments gap that prevents government from addressing the needs of the country; and lack of depth and history in the local capital market)*
- *Need for strengthening institutions and implementation capacity*

Looking at the needs of the EARF beneficiaries, there are three groups to consider: energy access companies, their current customers, and their future customers.

Energy access companies

Please see Annex 2 introduction for full details.

Current renewable energy customers

In partnership with GOGLA, the research firm 60 Decibels has been surveying 1,500+ PAYGo solar customers every month, starting in May of 2020. Their results show a customer base that has been hard hit by the health crisis and lockdowns and are struggling to meet their payment obligations.²⁸

- 5 out of 6 respondents reported that their financial situation is worse now than pre-COVID. 95% of Ugandans said they were worse off now than pre-crisis, and 84% of Nigerians.
- For many, the crisis is worsening. 58% said their incomes had reduced from May to June. More than three quarters of respondents from Uganda and Nigeria reported that their financial situation had deteriorated during that time. 48% Ugandans said it has gotten 'much worse'.
- 12% of Nigerians and 49% of Ugandans have had to stop or reduce loan repayments because of the crisis
- 32% of customers requested that companies offer some sort of payment relief, or allow them to use their energy assets without payment during the crisis

Some energy companies are trying to provide the relief sought by customers.²⁹ However, the lack of certainty around their own funding sources makes that difficult. Additional financing through the EARF could create space for additional levels of customer relief.

Future renewable energy customers

For the energy access sector, this crisis is in many ways about the customers who have *not* been reached with renewable energy solutions. 790 million people still lack access to electricity; 2.8 billion do not have clean cooking solutions. In Africa alone, IEA estimates that providing universal access to electricity would require an additional 370 million people to gain access to decentralized (i.e. SHS and microgrid) solutions before 2030, on top of the 20 million already connected by 2019.³⁰

²⁸ Consume Insights Dashboard, 60 Decibels. <https://app.60decibels.com/covid-19#explore>

²⁹ For example, d.light and Shell Foundation announced an initiative to provide 100,000 customers with reduced payments for the month of July: <https://www.capitalfm.co.ke/business/2020/07/d-light-announces-customer-covid-19-relief-donation-from-shell/>

³⁰ IEA (2019) https://webstore.iea.org/download/direct/2892?fileName=Africa_Energy_Outlook_2019.pdf

Those numbers, already daunting, will become unreachable if the energy sector is thrown backward by this crisis. The follow-on effects of that failure, the renewable path not taken, are immense: household air pollution alone causes 3.8 million deaths annually.³¹ Rural farms and businesses will remain asset-light and unproductive³². Health care facilities will have to operate in the dark. And the goal of a universally connected, renewable world slips farther and farther away.

D.5. Country ownership (max. 500 words, approximately 1 page)

Please describe how the beneficiary country takes ownership of and implements the funded project/programme. Describe the following:

- Existing national climate strategy
- Existing GCF country programme
- Alignment with existing policies such as NDCs, NAMAs, and NAPs
- Capacity of Accredited Entities or Executing Entities to deliver
- Role of National Designated Authority
- Engagement with civil society organizations and other relevant stakeholders, including indigenous peoples, women and other vulnerable groups

According to UNEP (2017)³³, the energy sector is considered a focus area in 45% of the INDC in all total Non-Annex 1 countries. Based on the data from UNEP, the energy sector is the most important sector not only in Asia and Sub-Saharan Africa but in all regions as seen in **Figure 1** below.

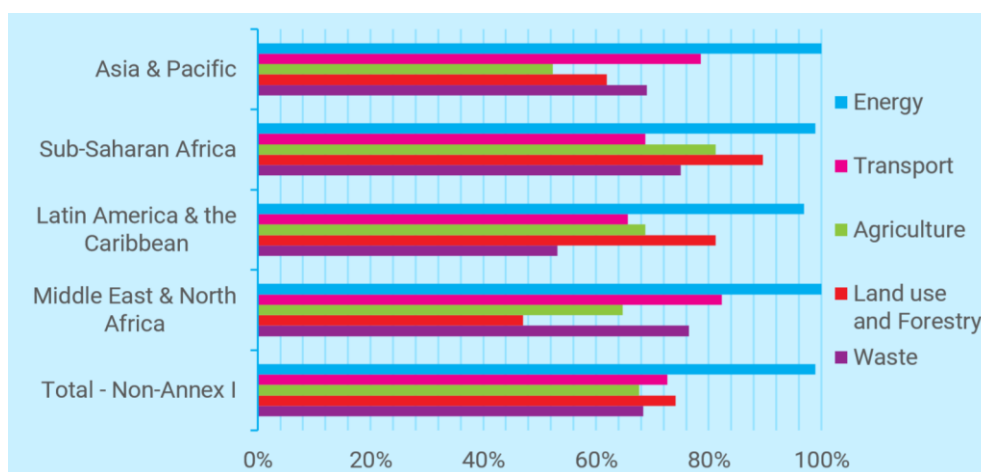


Figure 1 - (I)NDC sector coverage by region³⁴.

The prioritization of the Energy sector in most (I)NDCs is likely to reflect both its relevance as a large emission source and the availability of various cost-effective mitigation measures. All developing countries include mitigation measures within the Energy sector in their (I)NDCs. In this sector, all countries propose measures in

³¹ WHO (2018)

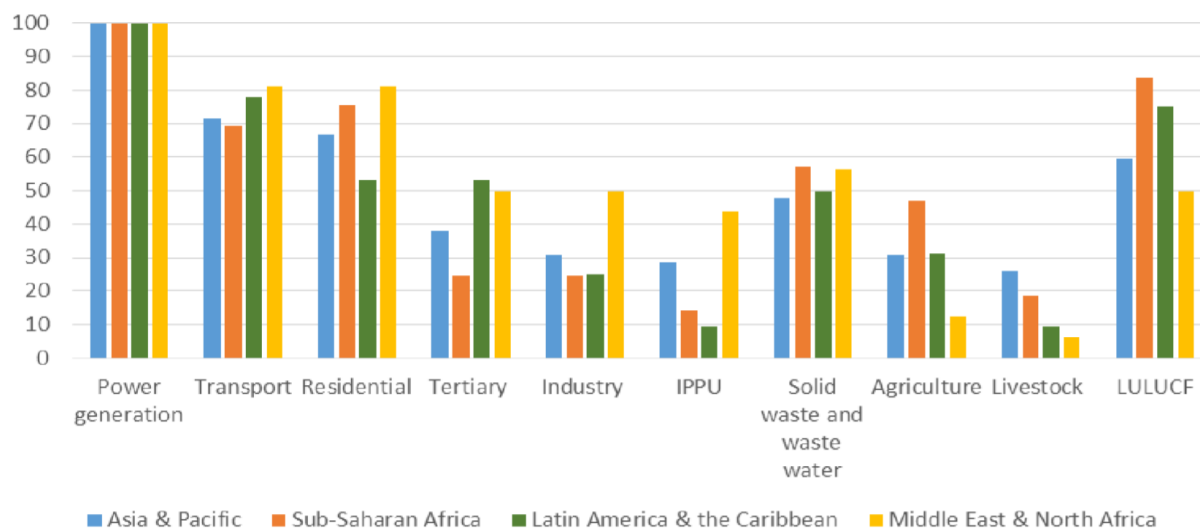
³² <https://efficiencyforaccess.org/publications/2019-state-of-the-off-grid-appliance-market-report>

³³ Schletz, M. C., Konrad, S., Staun, F., & Desgain, D. DR. (2017). Taking stock of the (I)NDCs of developing countries: regional (I)NDC coverage of mitigation sectors and measures. United Nations Environment Programme.

³⁴ INDC sector coverage based on NDC Explorer et al. 2016(Pauw)- Schletz, M. C., Konrad, S., Staun, F., & Desgain, D. DR. (2017). Taking stock of the (I)NDCs of developing countries: regional (I)NDC coverage of mitigation sectors and measures. United Nations Environment Programme

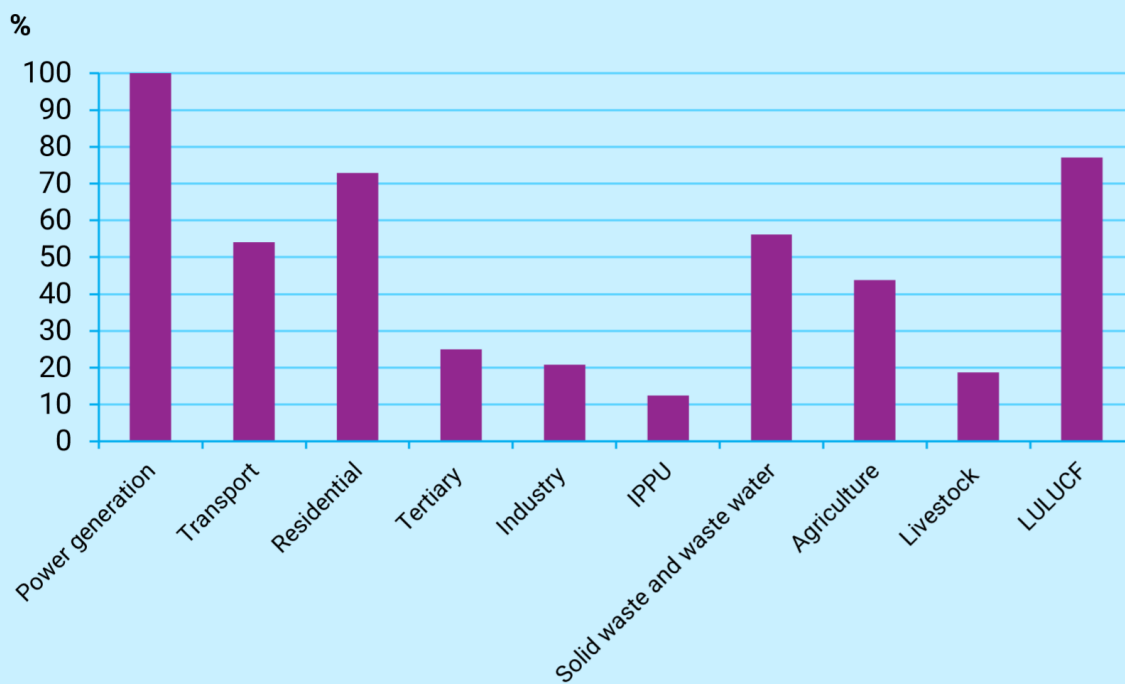
the Power generation sub-sector. In Sub-Saharan Africa and Asia power generation is the most prioritized sectors when including mitigation measures as seen in the **figure 2** below.

Figure 2 - Percentage of developing countries from Asia and Pacific, Sub-Saharan Africa, LAC and Middle East and North Africa, including mitigation measures in the defined sub-sectors.



In line with the sub-sectors of developing countries, all LDCs mention mitigation measures for the Energy sector, with most mitigation measures being in the Power generation and Residential sub-sector as seen in **figure 3** below.

Figure 3 - Percentage of LDCs including mitigation measures in the defined subsectors (based on NDC Explorer (Pauw et al. 2016)).



Among the mitigation measures mentioned in LDC (I)NDCs, those aimed at promoting types of renewable energy in the power generation sub-sector are the most common, mainly through the promotion of on-grid wind, hydro or solar technologies and off-grid solar technology. In addition, approximately one-third of African LDCs mention mitigation measures related to 'Grid extension and Rehabilitation of energy producing network and plant stations' in the power generation sub-sector.

EARF alignment with NOL Countries' Climate and Electrification Strategies

The EARF aims to safeguard the progress made by energy access companies towards universal access to clean energy and cooking technology. This goal is directly in line with the national climate and energy strategies of the NOL countries that will be reached by the EARF. Please see Annex 2 for a country-by-country breakdown.

Role of NDAs and Civil Society

The EARF is committed to obtaining letters of no objection (NOLs) from the relevant National Development Authorities in each of the countries that will be supported through GCF's contribution. In addition, the AE and EE intend to share annual reports on the progress of the EARF with NDAs and keep them apprised of the current state of EARF efforts.

In addition, the EARF is working to establish close contact with the global and national associations of off-grid solar, microgrid, and clean cooking operators. These organizations are working diligently to support the EARF's efforts by empowering local renewable energy associations and advising NDAs on enabling policy regimes. Once the fund is active, the facility manager along with Acumen and an anchor investor, aims to promote the fund internationally and domestically through industry associations, with an acute focus on industry associations in countries where NOLs have been obtained to ensure local companies in those markets are aware of the fund's application process.

D.6. Efficiency and effectiveness (max. 500 words, approximately 1 page)

Describe how the financial structure is adequate and reasonable in order to achieve the proposal's objectives, including addressing existing bottlenecks and/or barriers, and providing the minimum concessionality to ensure the project is viable without crowding out private and other public investments. Refer to section B.5 on the justification of GCF funding requested as necessary.

Please describe the efficiency and effectiveness of the proposed project/programme, taking into account the total financing and mitigation/ adaptation impact the project/programme aims to achieve, and explain how this compares to an appropriate benchmark.

Please specify the expected economic rate of return based on a comparison of the scenarios with and without the project/programme.

Please specify the expected financial rate of return with and without the Fund's support to illustrate the need for GCF funding to illustrate overall cost effectiveness.

The EARF is expected to be funded by capital from investors. Generally, the EARF's goal is to substantially preserve investor capital, not to produce significant returns. The project is high risk and there are no assurances that investors will not experience total loss of capital. The EARF anticipates providing low-interest loans to energy access companies with the goal of providing sufficient and appropriate liquidity to firms that are suffering financial effects due to the COVID-19 pandemic. The low annual interest rate on loans to investees is meant to avoid overburdening companies with unsustainable debt service, while still dissuading companies that do not require additional financing. However, the potential for higher demand for grants and/or equity, as well as the potential risk of default by company borrowers, means there can be no assurances on returns. Lack of returns and even a financial loss of invested capital that enables the sector's preservation would be deemed a successful outcome.

In terms of efficiency of impact, the EARF has set a fundraising target for the overall facility, inclusive of the potential GCF investment. The current targeted raise is meant to be sufficient to sustain the operations and impact of a significant number of energy access companies. For the approximately US\$60 million allocated to NOL countries (i.e. the GCF investment and EARF co-financing), we anticipate a net reduction in GHG emissions attributable to the programme of at least 1.33 million tCO₂e, with an implied cost per ton of CO₂e avoided of \$45.10. Assuming the indicative interest from countries for which we are seeking NOLs reflects actual investment, at scale, the US\$60 million may preserve many approximately 60 energy access companies in those NOL countries.

Without GCF's participation, the EARF may be able proceed with an initial raise, but it will be unable to meet more than a fraction of the demonstrated demand for liquidity. Because of C-19, these companies are struggling to operate their businesses and maintain employment. If GCF is not able to contribute funding, there is a high risk that many companies will not maintain operations. The resulting lack of access would mean that current customers are therefore at risk of switching back from solar to kerosene or diesel, and the huge potential of the sector to drive sustainable development and reduce emissions is curtailed. The sector's nearly 370,000 clean energy jobs will also be put at significant risk.

Please explain how best available technologies and practices have been considered and applied. If applicable, specify the innovations/modifications/adjustments that are made based on industry best practices.

The Programme introduces an emergency concessional financing mechanism to keep energy companies from facing dwindling liquidity and laying off staff, and shutting off customers access to energy in addition to addressing the possibility of using diesel and kerosene as an alternative to solar due to COVID19.

E. LOGICAL FRAMEWORK

This section refers to the project/programme's logical framework in accordance with the GCF's [Performance Measurement Frameworks](#) under the [Results Management Framework](#) to which the project/programme contributes as a whole, including in respect of any co-financing.

E.1. Paradigm shift objectives

Please select the appropriated expected result. For cross-cutting proposals, tick both.

- ☒ Shift to low-emission sustainable development pathways
☐ Increased climate resilient sustainable development

E.2. Core indicator targets

Provide specific numerical values for the GCF core indicators to be achieved by the project/programme. Methodologies for the calculations should be provided. This should be consistent with the information provided in section A.

E.2.1. Expected tonnes of carbon dioxide equivalent (t CO ₂ eq) to be reduced or avoided (mitigation and cross-cutting only)	Annual	0.222 million tCO ₂ eq
	Lifetime	1.33 million tCO ₂ eq
E.2.2. Estimated cost per t CO ₂ eq, defined as total investment cost / expected lifetime emission reductions (mitigation and cross-cutting only)	(a) Total project financing	{30,000,000 to 60,000,000 USD}.
	(b) Requested GCF amount	30,000,000 USD
	(c) Expected lifetime emission reductions	1,330,258 t CO ₂ eq
	(d) Estimated cost per t CO ₂ eq (d = a / c)	22.55 to 45.10 USD / t CO ₂ eq
	(e) Estimated GCF cost per t CO ₂ eq removed (e = b / c)	22.55 USD / t CO ₂ eq
E.2.3. Expected volume of finance to be leveraged by the proposed project/programme as a result of the Fund's financing, disaggregated by public and	(f) Total finance leveraged	0 to 30,000,000 USD

private sources (mitigation and cross-cutting only)	(g) Public source co-financed 0 to 30,000,000 USD (h) Private source finance leveraged _____ Choose an item. (i) Total Leverage ratio (i = f / b) <u>0 to 1</u> (j) Public source co-financing ratio (j = g / b) 0 to 1 (k) Private source leverage ratio (k = h / b) _____		
E.2.4. Expected total number of direct and indirect beneficiaries, (disaggregated by sex) E.2.5. Number of beneficiaries relative to total population (disaggregated by sex)	<table border="1"> <tr> <td>Direct</td><td>Not applicable to mitigation projects</td></tr> </table>	Direct	Not applicable to mitigation projects
Direct	Not applicable to mitigation projects		
<table border="1"> <tr> <td>Indirect</td><td>Not applicable to mitigation projects</td></tr> </table>	Indirect	Not applicable to mitigation projects	
Indirect	Not applicable to mitigation projects		
<i>For a multi-country proposal, indicate the aggregate amount here and provide the data per country in annex 17.</i>			
<table border="1"> <tr> <td>Direct</td><td>Not applicable to mitigation projects</td></tr> </table>	Direct	Not applicable to mitigation projects	
Direct	Not applicable to mitigation projects		
<table border="1"> <tr> <td>Indirect</td><td>Not applicable to mitigation projects</td></tr> </table>	Indirect	Not applicable to mitigation projects	
Indirect	Not applicable to mitigation projects		
<i>For a multi-country proposal, leave blank and provide the data per country in annex 17.</i>			

E.3. Fund-level impacts

Select the appropriate impact(s) to be reported for the project/programme. Select key result areas and corresponding indicators from GCF RMF and PMFs as appropriate. Note that more than one indicator may be selected per expected impact result. The result areas indicated in this section should match those selected in section A.4 above. Add rows as needed.

Expected Results	Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions
				Mid-term	Final	
M1.0 Reduced emissions through increased low-emission energy access and power generation	M1.1 Tonnes of carbon dioxide equivalent (t CO ₂ e) reduced or avoided - gender-sensitive energy access power generation)	Digital platform for tracking sales and impact; supplemented with company survey by independent party	0 tCO ₂ e	147,806 tCO ₂ e	885,791 tCO ₂ e	Methodology: The project applies the Global Off-grid Lighting Association's Standardised Impact Metrics to count carbon mitigation that is caused by off-grid solar devices, which are sold by employees/agents that are retained thanks to EARF funding. The emission factor for kerosene lamps is assumed to be 0.15tCO₂/yr/lamp based on the results of Lighting Africa. Programme Lifetime: 6 years Annual Reduction: 221,710 tCO₂e Lifetime Reduction: 1,330,258 tCO₂e

Social, environmental, economic co-benefit index/indicator at impact level	<i>Co-benefit 1.1 Number of jobs maintained by concessional finance at companies manufacturing, distributing, and/or financing renewable energy products</i>	Company survey by independent party	0 green jobs	3,900 green jobs Male: 2,850 Female: 1,050	11,700 green jobs Male: 8,550 Female: 3,150	Methodology: This approach uses an estimate of initial raise disbursed to energy access companies, 80% of which is estimated to be used to fund local employment, costing \$4,000 per local employee. Gender figures are based on a GOGLA estimate that 27% of sector employees are women. Programme Lifetime: 6 years Annual green jobs maintained: 3,900 Lifetime green jobs maintained: 11,700
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E.4. Fund-level outcomes

Select the appropriate outcome(s) to be reported for the project/programme. Select key expected outcomes and corresponding indicators from GCF RMF and PMFs as appropriate. Note that more than one indicator may be selected per expected outcome. Add rows as needed.

Expected Outcomes	Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions
				Mid-term)	Final	
M6.0 Increased number of small, medium and large low-emission	M6.2 Number of households and individuals (males and females) with	Digital platform for tracking sales and impact; supplemented with company	0 households with 0 individuals Male: 0 Female: 0	996,280 households with 5,479,539 individuals Male: 2,739,770	2,970,953 households with 16,340,243 individuals Male: 8,170,122	Methodology: The approach used counts each household that purchases an off-grid solar

power suppliers	improved access to low-emission energy sources	survey by independent party		Female: 2,739,770	Female, 8,170,122	device from an employee retained using EARF funding, discounting for product failure or nonpayment. The average household size in Sub-Saharan Africa is 6.9 people; we have used 5.5 as a conservative estimate. Programme Lifetime: 6 years (one-year grace period, three years of sales, and three years product lifetime) Annual Households Reached: 495,159 (average over 6 years) Lifetime Households Reached: 2,970,953
	M6.3 MWs of low-emission energy capacity installed, generated and/or rehabilitated as a result of GCF support	Digital platform for tracking sales and impact; supplemented with company survey by independent party	0	9.37 MW installed	24.47 MW installed	Methodology: The approach used multiplies expected sales of off-grid solar products by their weighted average watt-peak (1.5 watts per lantern and 20 watts per

						SHS), discounting for product failure and nonpayment. Programme Lifetime: 6 years (one- year grace period, three years of sales, and three years product lifetime) Annual Capacity Installed: 4.078 MW Lifetime Capacity Installed: 24.47 MW
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E.5. Project/programme performance indicators						
The performance indicators for progress reporting during implementation should seek to measure pre-existing conditions, progress and results at the most relevant level for ease of GCF monitoring and AE reporting. Add rows as needed.						
Expected Results	Indicator	Means of Verification (MoV)	Baseline	Target		Assumptions
				Mid-term	Final	

Component #1: Disburse concessional loans to energy access companies who are helping to mitigate climate change and have a demonstrated need for liquidity support.

Output 1.1 Energy companies have sufficient liquidity to retain staff and maintain growth, providing access to clean energy technology to new households	Outcome 1.1.1 % of companies receiving EARF funds report that they have reached pre-crisis sales levels as a result of EARF funding	Digital platform for tracking sales and impact; supplemented with company survey by independent party	0% of companies	30% of companies	60% of companies	Methodology: Using baseline estimates (without Covid-19) of 6% annual growth, ³⁵ and projecting that companies will experience a 25-50% reduction in turnover for 2020 ³⁶ before resuming regular growth rates in 2021 and beyond.
	Outcome 1.1.2 % increase in cumulative # of households reached across EARF portfolio	Digital platform for tracking sales and impact; supplemented with company survey by independent party	0% growth	6% growth from baseline	18% growth from baseline	Methodology: The number of units sold (2.9 million) is the equivalent of 18% of the 16 million sales in 2018 and 2019, which is taken as a proxy for the overall sector size. This is used as an indicative target, averaged across 3 years of sales.

³⁵ GOGLA, 2020, p. 200. https://www.lightingglobal.org/wp-content/uploads/2020/05/VIVID_OCA_2020_Off_Grid_Solar_Market_Trends_Report_Full_High-compressed.pdf

³⁶ EnDev, 2020. https://sun-connect-ea.org/wp-content/uploads/2020/08/EnDev_Energy_Access_Industry_Barometer_Summary_FINAL.pdf

	Outcome 1.1.3 Number of individuals accessing clean energy through sales or service from a EARF beneficiary company	Digital platform for tracking sales and impact; supplemented with company survey by independent party	0 individuals Male: 0 Female: 0	5,479,539 individuals Male: 2,739,770 Female: 2,739,770	16,340,243 individuals Male: 8,170,122 Female: 8,170,122	Methodology: This approach takes the indicator presented in M6.2 (households reached) and multiplies each household by 5.5 to arrive at the number of beneficiaries reached. Programme Lifetime: 6 years (one year grace period, three years of sales, and three years product lifetime) Annual individuals accessing clean energy: 2,723,374 Lifetime Individuals accessing clean energy: 16,340,243
Output 1.2 Companies adopt flexible work policies and public health initiatives that enable staff, customers, and communities to recover from the COVID-19 crisis	Outcome 1.2.1 % of companies in EARF portfolio that adopt a flexible work policy	EARF recipient survey conducted by independent party	0% of companies	50% of companies	100% of companies	Methodology: The approach used is to require firms to submit an employee retention plan, then offer them resources, guidance, and encouragement to adopt flex work policies
	Outcome 1.2.2 % of companies receiving EARF funds communicate public health information regarding COVID-19 to their customer base	Company survey by independent party	50% of companies	80% of companies	80% of companies	Methodology: Anecdotal evidence indicates that a subset of companies are already communicating health data. More thorough dissemination of best practices can reach the majority of remaining companies.

	Outcome 1.2.3 Essential service centers, such as health facilities, schools, and public service hubs, powered by companies receiving EARF funding	Digital platform for tracking sales and impact; Company survey by independent party	0 essential service centers	10 essential service centers	20 essential service centers	Methodology: Microgrid and SHS operators will be able to grow their operations, which will include powering critical facilities. While rare, the service provided to these is vital to off-grid communities.
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Component #2: Monitor the financial and operational status of companies that have received concessional finance, quantifying the impact that EARF funds have had on staffing levels, sales, and climate change mitigation. Facilitate knowledge exchange between companies to encourage the adoption of best practices or catalyze sector-wide responses to systemic business issues. Demonstrate ability of energy access sector to collaborate on sector-wide response to systemic threats.³⁷

Output 2.1: Lessons learned throughout the crisis and the relief process, from both the EARF partners and funded companies, are disseminated to the benefit of the wider energy access sector.	Outcome 2.1.1 Number of sector experts influenced by insights and knowledge outputs related to EARF	Analysis of attendance data of EARF webinars and workshops, readership data on EARF blogs/publications, and surveys offered to attendees and readers	0 sector experts influenced	150 sector experts influenced	500 sector experts influenced	Methodology: It is assumed that the EARF will convene regular bi-annual knowledge exchanges between recipient companies and other interested parties, annual open workshops, as well as publishing annual blogs and/or reports. Each of these is estimated to influence ~75 new experts on average (with diminishing returns as the programme reaches its end). The overall number will be determined through a combination of data sources, but the % 'influenced' will be principally determined by
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³⁷ Component 2 is intended to be merged with Component 1 in the revised logical framework, to be delivered as a condition precedent to the execution of the Funded Activity Agreement.

						survey results, then applied to overall attendance
	Outcome 2.1.2 % of recipient companies that have gained market or business insights from an EARF-led convening	Survey conducted by independent party	0% of companies	40% of companies	80% of companies	Methodology: The majority of companies are expected to participate in a sector convening by the end of the project timeframe.
	Outcome 2.1.3 # of energy access companies NOT receiving EARF funding who gain material insight into business continuity practices or other improved operational strategies	Analysis of readership and viewership data; independent survey conducted of event attendees	0 companies	15 companies	40 companies	Methodology: It is assumed that the universe of energy access companies that will not receive funding is as large or larger than the number of companies that will, and that these can be reached through written and presented knowledge products.
Output 2.2: Energy access sector demonstrates clear ability to organize and collaborate in order to overcome sector-wide threats such as the COVID-19 pandemic	Outcome 2.2.1 # of organizations represented in EARF-related strategy sessions, knowledge sessions, and/or working groups	Analysis of working group minutes/notes, as well as survey of attendees	0 organizations	60 organizations	120 organizations	Methodology: The participation of numerous and diverse organizations who have a stake in energy access will demonstrate the convening ability of the EARF and the larger sector. Interviews with participants will help to identify whether they were influenced and how sessions could be improved. 60 organizations considered as a realistic mid-line target, from which

						we hope to grow the universe of participants
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E.6. Activities ³⁸			
All project activities should be listed here with a description and sub-activities. Significant deliverables should be reflected in the implementation timetable. Add rows as needed.			
Activity	Description	Sub-activities	Deliverables
Activity 1.1.1 Establishment of the EARF	Acumen and other senior investors, as well as EE, to fund and secure a first close of EARF	• <i>Landscaping</i> • <i>Fundraising and closing</i> • <i>Reporting</i>	☐ Analyzed and segmented data on need for concessional financing, disaggregated by country and company type. ☐ Indicative term sheet with EARF investors. ☐ EARF achieves first closing with of investor capital confirmed.
Activity 1.1.2 Establishment, Management and Termination of Climate CV	A separate financing vehicle for GCF, Climate CV, is set up, managed and terminated by SIMA	• <i>Climate CV establishment</i> • <i>Climate CV management</i> • <i>Climate CV termination</i> • <i>Reporting</i>	☐ Climate CV is formed, GCF subscription completed and participation agreement with EARF finalized ☐ Legal documents related to Climate CV establishment ☐ Annual reports ☐ Performance reports ☐ Evaluation reports
Activity 1.1.3 Management of the sub-participation	Applicant eligibility is checked and verified by SIMA before submitting to EARF's Investment Committee, loans are disbursed, borrowers are monitored, interest and principal is	• <i>Screening</i> • <i>Approval and Disbursement</i> • <i>Collections</i> • <i>Monitoring of the loans and impacts</i> • <i>Reporting</i> • <i>Influence</i>	☐ Applications processed for eligibility. ☐ Applications processed for submission to IC. ☐ Annual reports. ☐ Semi-annual reports. ☐ Midpoint and end of project evaluation

³⁸ The Activities in the logical framework provided here in the Funding Proposal are intended to be integrated into Component 1 prior to signing the FAA, in consultation with the GCF Secretariat

	collected, companies are engaged for evaluation and influence.		☐ Interest income and capital returned to investors ☐ Delinquencies and/or defaults resolved expeditiously and as advantageously as possible. ☐ Fully-disbursed fund. ☐ Portfolio of companies who have received concessional finance. ☐ 100% of companies receive information on public health needs, flexible work policies, and customer support options ☐ Mid-line and end-line reports on actions taken by companies to support staff, customers, and/or communities
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E.7. Monitoring, reporting and evaluation arrangements (max. 500 words, approximately 1 page)

Besides the arrangements (e.g. annual performance reports) laid out in AMA, please give a summary of the project/programme specific arrangements for monitoring and evaluation. Please provide the types of interim and final evaluations. Describe Accredited Entity (AE) project reporting relationships, including to the NDA/Focal Point and between AE and Executing Entity (EE) as relevant, identifying reporting obligations from the EE to the AE. This should relate to the frequency of reporting on project indicators, implementation challenges and financial status.

SIMA, the Facility Manager/EE, will be responsible for the overall underwriting, monitoring and covenant compliance, reporting and evaluation of the EARF. An on-line portal is planned to be used to facilitate periodic monitoring data collection, with SIMA ensuring data is complete.

The main components of reporting by SIMA to investors and specifically the AE will include:

SIMA will report to the investors on a semi-annual basis on the following indicators:

- Fund-level capital deployment status
- Timeline to deploy the remaining capital and the relevant pipeline companies
- Country-wise geographic exposure of the fund
- Impact reporting on a fund-level basis comprising of core-indicators mentioned above.
- Borrower-wise financial, operational and other updates. (this section will be supported by the credit, financial, operational performance, and covenant compliance data collected monitoring by SIMA. Contents of this section will mainly emphasize around revenue and operational growth, portfolio asset quality, key balance sheet and cashflow indicators, key changes in management, board or strategy, market and country related factors and other qualitative information.

- Reporting on any special credit cases related to restructuring of underlying loans.
- Reporting on material E&S issues.

Evaluation

SIMA shall undertake a mid-term and final impact evaluation, based on impact indicators (see Annexes, 6, 8, and 11 for full details.)

Lessons learned and best practices are expected to be disseminated through webinars and publication of data and information from mid-term and final impact evaluations.

F. RISK ASSESSMENT AND MANAGEMENT

F.1. Risk factors and mitigations measures (max. 3 pages)

Please describe financial, technical, operational, macroeconomic/political, money laundering/terrorist financing (ML/TF), sanctions, prohibited practices, and other risks that might prevent the project/programme objectives from being achieved. Also describe the proposed risk mitigation measures. Insert additional rows if necessary.

For probability: High has significant probability, Medium has moderate probability, Low has negligible probability

For impact: High has significant impact, Medium has moderate impact, Low has negligible impact

Prohibited practices include abuse, conflict of interest, corruption, retaliation against whistleblowers or witnesses, as well as fraudulent, coercive, collusive, and obstructive practices

Selected Risk Factor 1: Governance & Management

Category	Probability	Impact
Technical and operational	Medium	High

Description

Companies that receive EARF loans may have inefficient management or governance structure which may result in ineffective decision making and the funds allowed to them may not be utilized properly. This risk could materialize due to separation of key-executives or change in group share-holding structures. The materialization of this risk could result in ineffective decision making at company's level and the company might not achieve desired outcome from the availed funds which will ultimately impact on their repayments. Projected EARF impact, including GHG emissions, households accessing renewable energy, and retained employment, may fail to materialize. This failure could result from a number of factors, including, but not limited to, ongoing effects of the COVID-19 pandemic, customers' inability to pay, and/or mismanagement of companies receiving EARF loans.

Mitigation Measure(s)

The facility manager has a well- designed credit due diligence process which involves detailed review of ownership, governance, management and board structure/effectiveness along-with interviews of senior management. In case any weakness is identified, at the assessment level the borrowers are advised to resolve these issues appropriately along-with this strong covenants are also incorporated to improve the governance structure. Furthermore, any major change in ownership structure is also restricted in the legal documentation. The screening process described in Sections B.3, B.4, and G.2 is meant to ensure that EARF loans are directed to companies with a viable, impactful business model. These measures, combined with the monitoring and oversight described in Section E, should mitigate the risk of attenuated impact.

Selected Risk Factor 2: Finance Risk

Category	Probability	Impact
Credit	High	Medium
Description		
Companies that receive EARF loans may fail to partially or fully repay their obligations, either on-time or at all. This risk could materialize because of lower-than-expected customer repayments, fraud, misaligned accounting practices, the occurrence of natural disaster, or myriad other possibilities. The EARF is high risk and materialization of this risk could result in a reduced or non-existent distribution to fund investors at the completion of the proposed timeline.		
Mitigation Measure(s)		
SIMA intends to conduct a thorough due diligence in order to evaluate the financial capacity and reputation of eligible companies. Close and constant monitoring of the portfolio, as well as quarterly reports to investors, are meant to proactively identify repayment risks and work with companies to help them repay loans.		

Selected Risk Factor 3: Technology/Infrastructure & MIS

Category	Probability	Impact
Technical and Operational	Low	High
Description		
Companies that receive EARF loans may have weak technology/infrastructure or weak MIS systems which may result in incorrect information circulation within the organization and may affect their decisions. This risk could materialize due to usage of outdated technology/infrastructure and pirated information systems. The materialization of this risk could result in circulation of incorrect information within the organization and their entire operational system may be at risk which will ultimately impact on the repayment capacity of the company. The EARF may incur difficulties at the international, national, or local level in disbursing to eligible companies. Those companies, in turn, may face legal or regulatory impediments to repaying their pecuniary obligations to the EARF. Further difficulties may arise in distributing the EARF's returned capital and income to investors on a timely or complete basis. All of this may result in companies and/or investors not receiving their funds on time, in whole, or at all.		
Mitigation Measure(s)		
The facility manager has a well designed credit due diligence process which involves cross checking various sources of data, particularly if a company works with a 3rd party software (PAYGO software in some cases). In case any weakness in quality of data is identified, at the assessment level the borrowers are advised to resolve		

these issues appropriately along-with this strong covenants are also incorporated to improve their MIS system. Furthermore, borrowers are also offered guidelines and advisory services to overcome these issues. As described in Section G.3, the chosen EE will have robust financial controls in place, and experience placing capital in the countries targeted by the EARF. Moreover, EARF investors such as GCF have procedures and diligence requirements in place to monitor the EARF and request periodic updates on its operations. Please see Annexes for additional detail on the EARF's ESG assessment procedures and environmental/social risk mitigation strategy.

Category	Probability	Impact
Credit & Operational Risk	Low	Medium
Description		
Companies that receive EARF loans may have weak risk management / internal control system due to which they may be exposed to various process risks such as delays in production, decision and/or frauds as well. This risk could materialize due to non-availability of documented process flows, manuals or weak financial systems. The materialization of this risk could result in delays in their operational processes or even frauds as well which will ultimately impact their repayment capacity.		
Mitigation Measure(s)		
The facility manager has designed a credit due diligence process which involves review of borrower's risk management & internal process flows. In case any weakness is identified at the assessment level, the borrowers are guided to correct the weakness of processes. Furthermore, covenants are also incorporated in loan documents to improve their internal processes and risk management. In addition to this facility manager has internal processes which can highlight and detect any fraudulent activity initiated and forwarded to fund-manager for payment processing.		
Selected Risk Factor 5: Country / Sovereign Risk / Forex Risk		
Category	Probability	Impact
Credit & Market Risk	Low	Medium
Description		
Companies that receive EARF loans may have been located in countries wherein, the country's economic or political position is risky. Further, there may be regulatory requirements in a country which may create problems in repatriation of loan repayments. This risk could materialize due to country's weak economic position or due to strict regulatory requirements in the country. The materialization of this risk could result in repatriation risk in loan repayments or may also lead to increase in market risk if the loan is not fully hedged and the movements of currencies are not favourable.		
Mitigation Measure(s)		
The facility manager while assessing the credit has due diligence procedures to mitigate this risk and while assessing the loan request country / sovereign risk is also analyzed.		
Selected Risk Factor 6: KYC & Anti-Terrorism		
Category	Probability	Impact
Credit & Operational	Medium	High
Description		
There is a possibility that companies that receive EARF may have been owned/managed by persons which may have KYC issues or may have link with terrorism activities. The materialization of this risk can have serious consequences such as blockage of fund from investors, regulatory or criminal proceedings against the funds/investors, sanctions and may also cause monetary losses.		
Mitigation Measure(s)		

The facility manager has due diligence and anti-terrorism policies in place and while assessing the credit requests thorough due diligence procedures are implemented to mitigate these risks wherein, the borrower's management & ownership is assessed with KYC & Anti-Terrorism checks (see section G.1). After the approvals the borrower's key-persons are also checked with anti-terrorism databases in-house as well as at the disbursement stages by third party fund servicers. In case of identification of any KYC / Anti-Terrorism issues the funds are stopped from being disbursed.

Selected Risk Factor 7: Impact Risk (Fund Level)

Category	Probability	Impact
Technical and operational	Medium	High

Description

Projected EARF impact, including GHG emissions, households accessing renewable energy, and retained employment, may fail to materialize. This failure could result from a number of factors, including, but not limited to, ongoing effects of the COVID-19 pandemic, customers' inability to pay, and/or mismanagement of companies receiving EARF loans.

Mitigation Measure(s)

The screening process described in Sections B.3, B.4, and G.2 is meant to ensure that EARF loans are directed to companies with a viable, impactful business model. These measures, combined with the monitoring and oversight described in Section E, may mitigate the risk of attenuated impact.

Selected Risk Factor 8: Liquidity Risk (Funds Level)

Category	Probability	Impact
Market Risk	Low	Medium

Description

There may be a possibility that the facility manager does not have adequate level of cash to timely disburse the loan to a prospective company or the fund is not able to meet the timelines for disbursement of all pipeline companies. Furthermore, since there is no prepayment penalty involved the funds might receive early repayments and those early repayments may not be placed timely. The materialization of this risk may lead towards cash-burning and may also lead to low-earning yield for the fund.

Mitigation Measure(s)

The facility manager has on hand a minimum amount of cash to ensure sufficient liquidity to cover expenses while minimizing the drag on Fund's efficiency. It also has a budgeting process, which involves regular monitoring of projected cash flows to plan for Loan maturities in order to minimize the amount of time during which cash remains idle. The facility manager may have multiple disbursements targeted over the course of period will plan its pipeline of borrower companies accordingly.

Thus, the only excess liquidity should only be in the rare case of a pre-payment. The facility manager is expected to discourage unnecessary pre-payment while negotiation with the borrowers however, at the same time it should not face any issues in redeploying funds as off-grid solar companies also need bridge Loans for the purpose of inventory management.

Selected Risk Factor 9: Execution Risk (Funds Level)

Category	Probability	Impact
Technical and Operational	Low	High

Description

The EARF may incur difficulties at the international, national, or local level in disbursing to eligible companies. Those companies, in turn, may face legal or regulatory impediments to repaying their pecuniary obligations to the EARF. Further difficulties may arise in distributing the EARF's returned capital and income to investors on a timely or complete basis. All of this may result in companies and/or investors not receiving their funds on time, in whole, or at all.

Mitigation Measure(s)

As described in Section G.3, the chosen EE will have financial controls in place, and experience placing capital in the countries targeted by the EARF. Moreover, EARF investors such as participants like GCF have procedures and diligence requirements in place to monitor the EARF and request periodic updates on its operations. Please see Annexes for additional detail on the EARF's ESG assessment procedures and environmental/social risk mitigation strategy.

G. GCF POLICIES AND STANDARDS

G.1. Environmental and social risk assessment (max. 750 words, approximately 1.5 pages)

Provide the environmental and social risk category assigned to the proposal as a result of screening and the rationale for assigning such category. Present also the environmental and social assessment and management instruments developed for the proposal (for example, ESIA, ESMP, ESMF, ESMS, environmental and social audits, etc.). Provide a summary of the main outcomes of these instruments. **Present the key environmental and social risks and impacts and the measures on how the project/programme will avoid, minimize and mitigate negative impacts at each stage (e.g. preparation, implementation and operation), in accordance with GCF's ESS standards.** If the proposed project or programme involves investments through financial intermediations, **describe the due diligence and management plans by the Executing Entities (EEs) and the oversight and supervision arrangements.** Describe the capacity of the EEs to implement the ESMP and ESMF and arrangements for compliance monitoring, supervision and reporting. Include a description of the project/programme-level grievance redress mechanism, a summary of the extent of multi-stakeholder consultations undertaken for the project/programme, the plan of the Accredited Entity (AE) and EEs to continue to engage the stakeholders throughout project implementation, and the manner and timing of disclosure of the applicable safeguards reports following the requirements of the GCF [Information Disclosure Policy](#) and [Environmental and Social Policy](#).

This proposal involves an EE acting as a financial intermediary, intending to carry out "Activities with minimal or no adverse environmental or social risks and/or impacts." Therefore, the appropriate ESS Category is I3.

Scope of the E&S Assessment

In addition to meeting eligibility criteria in Section B.4 and KYC AML/CFT checks, SIMA will undertake an E&S Assessment.

E&S Assessment SIMA, Deal Sourcing Partner will collaborate with SIMA and ensure that the E&S process is consistently followed. The following table summarizes the allocation of responsibilities:

	E&S Categorization	Reputational Issues and XL	Applicable E&S Laws	Additional E&S DD	Investment Proposal
Deal Sourcing Partner	Define	Check	Check	Check	Prepare
SIMA	Review	Review	Review	Review	Review
E&S Consultant		Review	Review	Review	Review
Investment Committee					Approve

E&S Categorization: Investees will be ESS Category I3 and engaged in energy access - primarily solar home systems (<1kw), to lesser extent biodigesters, clean cooking or micro-grids. These various applicants will be assessed according to following E&S factors: impact on key biodiversity areas; human rights; labour; health & safety; potentially irreversible impacts; land use; extent of environmental/social issue. The context of inherent sector risks, scale, continued operations and locations will also be considered.

The EARF intends not to finance a company or project categorized as Category A (high-risk) or Category B (medium-risk), and will use an enhanced E&S assessment for any potential investee that demonstrates a possibility of being medium risk, (anticipated to be very limited number, if any).

Reputational Issues and Exclusion list: SIMA investigates information available in public and private domains for any adverse environmental/social issues, or compliance with applicable laws associated with the applicant. The DSP to use tools and platforms defined by SIMA. Standard key words include ‘*Scandal*’, ‘*labour*’, ‘*fraud*’, ‘*corruption*’, ‘*bribery*’, ‘*money laundering*’, ‘*illegal*’, etc. Any issues identified will include a note in Investment Proposal.

SIMA has adopted EDFI’s Exclusion List for this Fund, and applicants will be screened to determine whether it is in line with this exclusion list. The Fund will not finance any activity, production, use of, trade in, distribution of or involving specific listed activities.

Applicable E&S Laws: Applicants will be required to demonstrate that they are currently complying with host country E&S/OHS laws through a valid company registration certificate and representations in the loan agreement.

Additional E&S DD: Other available E&S Assessments from SIMA, the DSP, other investors and/or any 3rd parties will be requested. If an ESAP was defined within the past 24 months, SIMA will request a status update.

The DSP will ask applicant to complete a Self-Assessment Questionnaire (developed by SIMA) in order to evidence that a set of minimum E&S safeguards are in place. This questionnaire will be checked by the DSP and reviewed by SIMA before deal is submitted to Investment Committee. If needed, an ESAP will be defined.

Reviewing and Challenging the E&S Appraisal

The E&S analysis will form part of the overall Investment Proposal reviewed by the IC and considered when making a final decision on the investment. SIMA will involve external E&S consultant experts in this process in cases of suspected medium-risk, complex or sensitive investments (investments determined to be medium-risk will not be funded).

E&S clauses will be included in loan agreements to ensure the investee company complies with the Fund’s exclusion list, applicable E&S laws and regulation. If an ESAP has been defined, it will be used to determine covenants in the legal loan agreement to ensure the investee company works to address the identified issues within a set time frame over the investment period.

Compliance Monitoring

Borrowers will be required to report bi-annually and represent ongoing compliance with any E&S covenants, the exclusion list and any ESAP.

Grievance redress mechanism, see Annex 6.

Multi-stakeholder consultations see Annex 7.

Environmental and Social Risk Assessments

The EE will provide necessary proof of E&S assessments, as well as documentation to explain their risk mitigation strategy.

The EARF will require all borrowers to comply with the Harmonized European Development Finance Institution (EDFI) Exclusion List.³⁹

Due Diligence

Potential EARF loan recipients will be screened to ensure that they meet the decided eligibility criteria described in Schedule 1 of the Term Sheet on ‘Key terms of the Loans’, as well as KYC and AML/CFT criteria (see section G.3 and Annex 6 for additional detail).

For an indicative example, firms that have cleared the eligibility criteria may be required to fill out the following information:

³⁹ <https://www.edfi.eu/wp/wp-content/uploads/2017/09/EDFI-Exclusion-List -September-2011.pdf>

KYC List 1 Information

Shareholder structure/capitalisation table

Corporate structure

Articles of association of Borrower and Obligor(s)

1 year audited financial statements

Short bio of key senior management and board members

Names and date of birth of management / board members / shareholders for Worldcheck confirmation

As a further control, the facility manager will manage the flow of approved applications to mitigate risk of over-concentration and ensure diversity of business models and geographies, as well as final screening to ensure that all firms and applications meet the EARF's mandate.

Companies that have qualified for investment and been approved for disbursement may also be required to submit:

- Passport copies of board members and passport of person who will sign the loan agreement
- Certificate of registration (not older than 12 months)
- License under which they operate
- Power of signatory of the person who will sign the loan agreements

Describe any potential impacts on indigenous peoples and the measures to address these impacts including the development of an Indigenous Peoples Plan and the process for meaningful consultation leading to free, prior and informed consent, pursuant to the GCF [Indigenous Peoples Policy](#).

Attach the appropriate assessment and management instruments or other applicable studies, depending on the environmental and social risk category as annex 6.

G.2. Gender assessment and action plan (max. 500 words, approximately 1 page)

Provide a summary of the gender assessment and project/programme-level gender action plan that is aligned with the objectives of GCF's [Gender Policy](#). Confirm a gender assessment and action plan exists describing the process used to develop both documents. Provide information on the key findings (who is vulnerable and why) and key recommendations (how to address the vulnerability identified) of the gender assessment. Indicate if stakeholder consultations have taken place and describe the key inputs integrated into the action

plan, including: how addressing the vulnerability will ensure equal participation and benefits from funds investment; key gender-related results to be expected from the project/programme with targets; implementation arrangements that the AE has put in place to ensure activities are implemented and expected outcomes will be achieved, monitored and evaluated.

Provide the full gender assessment and project-level gender action plan as annex 8.

With specific regard to women, many off-grid energy investments positively impact women in such areas as health, safety, and livelihood. Solar lanterns can replace the use of kerosene, thus making lighting in the household higher quality and reducing the fumes that women and children are exposed to.

The fund plans to adopt policies relating to gender lens investing, and it will disaggregate KPIs by gender. The loan covenants state that the percentages of female in-country staff/total staff may not decline by more than 10 percentage points relative to baseline (end of calendar quarter preceding application date).

Separately, Acumen has formalized its Gender Policy⁴⁰, which outlines specific gender issues related to Acumen's governance and human resource aspects of Acumen the institution. While SIMA is managing the EARF, we are strongly encouraging gender indicators that the EARF will report on with respects to the gender impact of its portfolio companies.

Regarding gender impact, many of the goods and services provided by the companies the Fund expects to invest in will have a direct impact on women, such as solar lanterns and clean cookstoves. These technologies can reduce indoor air pollution, which kills 3.8 million people annually⁴¹ and puts women and children "at particularly high risk from exposure".⁴²

Energy access companies also hire women employees, providing income and empowerment. The off-grid solar workforce is currently composed of 27% women,⁴³ a ratio that needs to improve, hence the covenants attached to women's employment. Acumen will seek to understand the impact that the relief funds have on women through company-provided data and 3rd party research and data collection. Historically, Acumen has conducted its own research on the impact on women of certain of its portfolio companies and has also partnered with organizations like the International Center for Research on Women to research and better understand gender impact. Acumen expects to provide similar research for investments made by the Fund and will share that with the GCF.

Acumen is committing the following in its own work outside of the EARF, per our gender policy: "This policy is Acumen's first attempt at taking an intentional approach to gender sensitivity in our programs and operations. We intend to take a staged approach - first, measuring what we feasibly can measure in our programs and operations; second, reviewing the data collected at meaningful intervals and determining what we've learned; and third, based on those lessons, determining any advisable changes to our approach."

Please see Annex 8 for more information.

G.3. Financial management and procurement (max. 500 words, approximately 1 page)

⁴⁰ <https://acumen.org/wp-content/uploads/2016/02/gender-policy-final-11-30-2015.pdf>

⁴¹ WHO (2018), <https://www.who.int/news-room/fact-sheets/detail/household-air-pollution-and-health>

⁴² WHO (2016), <https://www.who.int/airpollution/publications/burning-opportunities/en/>

⁴³

https://www.gogla.org/sites/default/files/resource_docs/gogla_off_grid_solar_a_growth_engine_for_jobs_web_opt.pdf

Describe the project/programme's financial management including the financial monitoring systems, financial accounting, auditing, and disbursement structure and methods. Refer to section B.4 on implementation arrangements as necessary.

Articulate any procurement issues that may require attention, e.g. procurement implementation arrangements and the role of the AE under the respective proposal, articulation of procurement risk assessment undertaken and how that will be managed by the AE or the implementing agency. Provide a detailed procurement plan as annex 10.

Acumen and the EARF will adhere to all the relevant policies of Acumen that the GCF reviewed in the accreditation of Acumen. During the implementation, Acumen will provide oversight and quality assurance in accordance with its policies and procedures and any specific requirements in the Accreditation Master Agreement (AMA) and project confirmation to be agreed with GCF.

In addition, SIMA currently implements a robust procedure of confidential internal financial controls and policies in the operation of its funds and will utilize these controls and policies with EARF.

G.4. Disclosure of funding proposal

Note: The Information Disclosure Policy (IDP) provides that the GCF will apply a presumption in favour of disclosure for all information and documents relating to the GCF and its funding activities. Under the IDP, project and programme funding proposals will be disclosed on the GCF website, simultaneous with the submission to the Board, subject to the redaction of any information that may not be disclosed pursuant to the IDP. Information provided in confidence is one of the exceptions, but this exception should not be applied broadly to an entire document if the document contains specific, segregable portions that can be disclosed without prejudice or harm.

Indicate below whether or not the funding proposal includes confidential information.

☐ **No confidential information:** The accredited entity confirms that the funding proposal, including its annexes, may be disclosed in full by the GCF, as no information is being provided in confidence.

☒ **With confidential information:** The accredited entity declares that the funding proposal, including its annexes, may not be disclosed in full by the GCF, as certain information is being provided in confidence. Accordingly, the accredited entity is providing to the Secretariat the following two copies of the funding proposal, including all annexes:

- € full copy for internal use of the GCF in which the confidential portions are marked accordingly, together with an explanatory note regarding the said portions and the corresponding reason for confidentiality under the accredited entity's disclosure policy, and
- € redacted copy for disclosure on the GCF website.

The funding proposal can only be processed upon receipt of the two copies above, if containing confidential information.

ANNEXES

H.1. Mandatory annexes

☒	ANNEX 1	NDA no-objection letter(s) (template provided)
☒	ANNEX 2	Feasibility study - and a market study, if applicable
☒	ANNEX 3	Economic and/or financial analyses in spreadsheet format
☒	ANNEX 4	Detailed budget plan (template provided)
☒	ANNEX 5	Implementation timetable including key project/programme milestones (template provided)
☒	ANNEX 6	E&S document corresponding to the E&S category (A, B or C; or I1, I2 or I3): (ESS disclosure form provided) ☐ Environmental and Social Impact Assessment (ESIA) or ☐ Environmental and Social Management Plan (ESMP) or ☐ Environmental and Social Management System (ESMS) ☐ OTHERS (PLEASE SPECIFY – E.G. RESETTLEMENT ACTION PLAN, RESETTLEMENT POLICY FRAMEWORK, INDIGENOUS PEOPLE’S PLAN, LAND ACQUISITION PLAN, ETC.)
☒	ANNEX 7	Summary of consultations and stakeholder engagement plan
☒	ANNEX 8	Gender assessment and project/programme-level action plan (template provided)
☒	ANNEX 9	LEGAL DUE DILIGENCE (REGULATION, TAXATION AND INSURANCE)
☒	ANNEX 10	Procurement plan (template provided)
☒	ANNEX 11	Monitoring and evaluation plan (template provided)
☐	ANNEX 12	AE fee request (template provided)
☐	ANNEX 13	Co-financing commitment letter, if applicable (template provided)
☒	ANNEX 14	Term sheet including a detailed disbursement schedule and, if applicable, repayment schedule

H.2. Other annexes as applicable

☒	ANNEX 15	EVIDENCE OF INTERNAL APPROVAL (template provided)
☐	Annex 16	Map(s) indicating the location of proposed interventions
☒	Annex 17	Multi-country project/programme information (template provided)
☐	Annex 18	Appraisal, due diligence or evaluation report for proposals based on up-scaling or replicating a pilot project
☐	Annex 19	Procedures for controlling procurement by third parties or executing entities undertaking projects financed by the entity

- ☐ Annex 20 First level AML/CFT (KYC) assessment
- ☐ Annex 21 Operations manual (Operations and maintenance)
- ☒ Annex 22 Climate change mitigation methodology
- ☒ Annex 23 Mitigation calculations
- ☒ Annex 24 EARF Eligibility Criteria
- ☒ Annex 25 Facility manager overview
- ☒ Annex 26 DRAFT Term sheet for energy access companies receiving EARF loans